

Before the
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-21

MSRF, INC. v. YANG MING MARINE TRANSPORT CORPORATION

RESPONDENT'S OPPOSITION BRIEF

PUBLIC VERSION - CONFIDENTIAL MATERIAL EXCLUDED

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RESPONDENT’S OPPOSITION BRIEF

Respondent Yang Ming Transport Corporation (“Respondent” or “Yang Ming”) hereby submits its brief in opposition (“Opposition Brief”) to the opening brief (“Opening Brief” or “CBR”) of Complainant MSRF, Inc. (“Complainant” or “MSRF”). What is most notable about the Complainant’s Opening Brief (all five pages of it) is that it does not make a single argument about the Shipping Act. It addresses the standard for summary judgment and the standard for admission of summaries of voluminous documents, quotes a few statutory sections of the Shipping Act and/or Federal Maritime Commission (“Commission” or “FMC”) regulations, makes an irrelevant (and misleading) assertion that the Shipping Act contains an implied right of action in court, but never cites a single Commission decision about the Shipping Act itself. Instead, Complainant just calls it a day. Nor does Complainant’s Opening Brief meet the requirements of 46 C.F.R. 502.214.¹ In essence, Complainant has just thrown up its hands and

¹Although Respondent does not urge such noncompliance with the FMC’s Rules on briefs as a ground for dismissal, we note that Complainant’s Opening Brief does not have “a subject index or table of contents with page references and a list of authorities cited.” 46 C.F.R. 502.214(d). Nor does it have the requisite “separately captioned” “introductory section” or “conclusions.” 46 C.F.R. 502.214(c). This behavior is consistent with Complainant’s past failures to submit filings or provide discovery within the required time or in the proper form, but we see no need to rehash all of that here.

asked the Presiding Officer to cobble together some reason why MSRF should somehow or other be deemed to have met its burden of proof.

Respondent, against which substantial reparations are sought, does not enjoy the luxury of taking this proceeding so lightly. Accordingly, this Opposition Brief is more than fifteen times the length of the CBR, discusses the Shipping Act at length and in detail, cites many FMC decisions, as shown in the Table of Citations, and analyzes both the facts and the law (and how the law applies to the facts).

Before getting to the Introduction and Summary of Argument, Respondent raises a concern it wishes were unfounded. The slenderness of Complainant's Opening Brief suggests that Complainant may be saving most of its limited ammunition for the reply brief. That, however, would be improper "sandbagging," disapproved by courts everywhere.² We had hoped

² As the court explained in *Maher v. Rowen Grp, Inc.*, 2015 U.S. Dist. LEXIS 5933 at *18; 2015 WL 273315 (N.D. Ill. 2015)(emphasis added):

"[W] will not consider new arguments raised on reply. This sort of sandbagging is inappropriate, as reply briefs are for replying, not for new matters that could and ought to have been advanced in the opening brief."

Likewise, the decision in *Lisa M. v. Kijakazi*, 2021 U.S. Dist. LEXIS 197637 at *18, 2021 WL 4804073 (Magistrate, N.D. Ill. 2021) (citations omitted), where the plaintiff filed a slim opening brief then tried to supplement on reply, states:

"Arguments raised for the first time in a reply brief are waived. It is a forbidden tactic that is everywhere disallowed. The doctrine is deemed necessary to prevent 'sandbagging.'"

See, e.g., *California Sportfishing Protection Alliance v. Pacific States Industries, Inc.*, 2015 U.S. Dist. LEXIS 127871 at *6; 2015 WL 5569073 (N.D. Cal. 2015)("[r]aising new arguments in a reply brief is classic sandbagging, and the Court will not tolerate it"); *Johnson v. County of Santa Clara*, 2023 U.S. Dist. LEXIS 47868; 2023 WL 2600446 (N.D. Cal. 2023 (same)); *Davenport v Wendy's Co.*, 2014 U.S. Dist. LEXIS 103058 at **8-9; 2014 WL 3735611 (E.D. Cal. 2014). Cf. *Santa Fe Discount Cruise Parking Inc. v. The*

that this concern was a bit fanciful until we reviewed Complainant's Reply Brief in the similar case of *MSRF v. HMM Company Limited*, Docket No. 22-20. There, MSRF went well beyond what would be tolerated in the federal courts in terms of making arguments in reply that it could, and should, have made in its initial brief. We trust that such gamesmanship will not be repeated.

INTRODUCTION AND SUMMARY OF ARGUMENT

A. The Service Contract

In April 2021, Yang Ming and MSRF agreed to and signed a service contract for transportation of cargo between certain ports in Asia and certain ports and points in the United States and Canada, which was filed with the FMC and became effective on May 1, 2021 as Service Contract 494721 ("Service Contract"). [RPFF31].³ This was the first ever, but not the last,⁴ service contract between MSRF and Yang Ming. [RPFF14].

Because the complaint in this proceeding ("Complaint") depends entirely on the Service Contract for all of its claims, we now examine its terms and conditions in some detail, for later reference back in demonstrating that MSRF's claims are, apart from other failings, mistakenly premised on the incorrect assertion that Yang Ming breached the Service Contract. As we show below, Yang Ming not only met the terms of the Service Contract, it exceeded them. Furthermore, because MSRF's compliance with the Minimum Quantity Commitment ("MQC") was tied to the very same MQC as Yang Ming's, *if* Yang Ming violated the Service Contract by not providing space adding up to the MQC, so too did MSRF violate the Service Contract by not

Board of Trustees of the Galveston Wharves, 2014 LEXIS 31 at *26 (ALJ 2014) [RX_000451] (argument made for the first time on reply is improper).

³ Citations to Respondent's Proposed Findings of Fact will be in the form of [RPFF__].

⁴ Yang Ming and MSRF also entered into a subsequent service contract for 2022-2023. MSRF did not request a contract for 2023-2024, apparently due to the pendency of this proceeding.

tendering the MQC. Complainant's fanciful argument to the contrary is premised entirely on the false notion that it can enforce the contract as originally written but ignore an amendment, ***which it agreed to and signed***, that substantially changed the position of ***both*** MSRF and Yang Ming. Complainant wants not only to have its cake and eat it too, but also to make Yang Ming pay for it as well. Complainant cannot have it both ways – either the amendment is recognized – in which case Yang Ming more than met its service commitment – or it is null and void – in which case ***neither*** MSRF nor Yang Ming met their respective obligations to tender and provide space for the MQC.⁵

Term. The term of the Service Contract was from May 1, 2021 through April 30, 2022. CX_0006.

Origin/Destination Coverage The rates in the Service Contract originally covered the following origins/destinations: (i) (Eastbound) from Baseports Yantian, Hong Kong, Shanghai, Ningbo, Qingdao, and Xiamen (China) to door destinations in Alsip, IL, Bedford Park, IL, Des Plaines, IL, Itasca, IL, Apple Valley, CA, Columbus, OH, Durant, OK, Montgomery, AL, Richmond, CA, Montreal, QC, Houston and Seattle/Tacoma; and CY-CY to Chicago, New York, Los Angeles, Long Beach, Oakland, Savannah (CX_0061); and (ii) (Westbound) from door locations Alsip, IL; Countryside, IL; Saint Martinville, LA; Fort Mill, SC; and Lockport, IL through ports of loading Los Angeles, CA; Long Beach, CA; Seattle, WA; Tacoma, WA to container yard destinations in Qingdao, Hong Kong and Xiamen [RPFF25].

⁵ Acceptance of Complainant's argument that a reduction of the MQC affects only the shipper obligation and not the carrier obligation would also be counterproductive. If that were the case, no carrier would ever agree to reduce the MQC, leading to a parade of carrier claims for liquidated damages against shippers and, in the absence of liquidated damages, re-rating of prior shipments to the tariff rate.

The MQC. As required by the Shipping Act and FMC regulations [see 46 U.S.C. 40102((21); 46 U.S.C. 40502(c)(4); 46 C.F.R. 530.3(q); 46 C.F.R. 530.8(b)(4)], the Service Contract included a minimum quantity commitment (“MQC”), stating the amount of cargo that the shipper MSRF was required to tender to the carrier Yang Ming over the term of the contract in order to qualify for the rates set forth therein. The initial version of the Service Contract, effective May 1, 2021, provided an MQC of 100 TEUs. [RPFF30]. But on April 18, 2022, MSRF and Yang Ming entered into Amendment 7 to the Service Contract, which reduced the MQC to 10 TEUs. [RPFF39]. As discussed further below, this had the effect of concurrently: (i) reducing the number of TEUs that MSRF was required to tender to Yang Ming, thereby eliminating the possible imposition of liquidated damages on MSRF for failure to tender the MQC; and (ii) reducing the number of TEUs that the Service Contract required Yang Ming to provide MSRF, as that number was directly determined by the MQC.

The period over which MSRF was required to tender the MQC. The Service Contract did not include any prescription or limitation as to when, or over what period, MSRF might tender shipments to achieve the MQC, other than the entire one-year term of the contract. [Complainant’s Response to Interrogatory 19 RX_000144]. That is, there were no requirements for MSRF to tender any amount per month, per quarter, or over any specified period less than the full term. MSRF could have tendered all of its MQC in the first month of the Service Contract or the last month of the Service Contract. Or it could have tendered the cargo in even or uneven increments over multiple months. The only words in the Service Contract that say anything about when MSRF might tender cargo is in Article 7, which provides in relevant part: PUBLIC VERSION - CONFIDENTIAL

[RPFF26]. This provision did not mandate that MSRF tender cargo on any particular schedule,⁶ but instead, was aspirational and expectational only. Accordingly, Yang Ming would have had no ground for contractual complaint if, instead of spreading the cargo equally across the 12 months of the Service Contract, MSRF had used any of the alternative distributions described above.

Yang Ming's Service Obligation. The Shipping Act and FMC regulations require that a service contract include, not only an MQC, but also a carrier service commitment. You might think from the CBR, however, that Yang Ming's service commitment was expressed in a specific number of TEUs. That is both wrong and misleading. Instead, the carrier commitment made by Yang Ming in the Service Contract was tied directly to the MQC. Thus, Article 7 of the Service Contract regarding the carrier commitment provided (emphasis added):

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[REDACTED]

[RPFF26].

As this provision of the Service Contract makes crystal clear, the *maximum* amount of space that Yang Ming was obligated to make available to MSRF was that needed to allow MSRF to meet its

⁶ Accordingly, Complainant's assertion [CBR at 3] that it was required to tender and Respondent to carry cargo at "agreed intervals" is merely a strategic invention by Complainant and patently false. When Respondent asked in discovery what these "agreed intervals" were, Complainant answered: "The agreed intervals are those referred to in paragraph 7 of the Service Contract." Complainant's Response to Interrogatory 14. RX_000430. Article 7, however, says nothing about any intervals, agreed or otherwise. Nor does any other Article in the Service Contract.

MQC.⁷ Because of this direct, definitional relationship between the MQC and the carrier commitment, any amendment to the MQC automatically affected the carrier commitment as well.

Furthermore, the Service Contract explicitly excused Yang Ming from performance when space or equipment was unavailable outside Yang Ming's control. In addition to Article 7, quoted above, Article 19 also protected Yang Ming from claims of failure to meet its carrier obligation, if such inability was due to unforeseen events.:

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[REDACTED]

[RX00034].

The Temporal and Geographic Scope of the Carrier Commitment. As with MSRF's obligation under the MQC, discussed above, there was no requirement in the Service Contract that Yang Ming provide space over any specific period, other than the entire term of the contract. [RX_000030]. Indeed, Complainant has admitted that this is so. Response to Respondent's

⁷ As MSRF has admitted, Article 7 allowed Yang Ming to make space above the MQC available to MSRF, but only at Yang Ming's *option* and at mutually agreeable rates. [Complainant's Response to Request for Admission 17 RX_000142; RX_000144].

Request for Admission 19 [RX_000144].⁸ That is, there was no obligation on Yang Ming to provide any specific amount of space per week, per month, per quarter, or over any specific period other than the term. And as Complainant has also admitted [Complainant's Response to Respondent's Request for Admission 18 RX_000144], nothing in the carrier commitment required Yang Ming to provide MSRF with any specific amount of space between any specific port pairs. [RPFF27]. Thus, Yang Ming had no obligation to provide space whenever, in what amount, and between what locations MSRF might request. Likewise, as MSRF further admitted, nothing in the Service Contract obligated Yang Ming to make space available in the absence of a specific tender from MSRF. [Response to Supplemental Interrogatory 1 ("In order for Yang Ming to provide the space it was necessary for MSRF to request the booking of a shipment"). RX_000150]⁹ Both MSRF's requirement to tender and Yang Ming's obligation to make space available were governed by one thing, and one thing only – the annual MQC. Yang Ming nevertheless made every effort to accommodate MSRF's ever-changing needs, as shown herein.

⁸ Complainant did at one time suggest that the absence of any such obligation may have been modified by the "course of dealing between the parties in previous years," but this argument does not appear in its Opening Brief and is therefore waived. And even if it were made, any such argument is unsustainable for multiple reasons. First, it is literally impossible as a matter of fact. As noted above, this was the *first* service contract between MSRF and Yang Ming, so there could not possibly have been a course of conduct in prior years. Second, as a matter of contract, the Service Contract contained an Integration Clause (Article 15, quoted below), so such modifications were impermissible. Finally, as a matter of law, the parties to a service contract are required to adhere to the provisions of the contract *as filed with the Commission*. There is thus no leeway for the parties to change the contract by conduct without first reflecting that change in a filed amendment.

⁹ MSRF's response is in any event the necessary implication of the language that "Yang Ming" "make available" to MSRF capacity to carry the MQC. It is also common sense that Yang Ming was not required to provide space that MSRF did not ask for, and Yang Ming could not force it to accept, and that the only time Yang Ming could have made space available to MSRF was when MSRF (or its agent) asked for it.

Integration Clause. Article 15 of the Service Contract provided as follows:

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Amendment. The FMC regulations allow service contracts to be amended, but only by agreement of the parties. 46 F.M.C. 530.10(b). This matter was addressed by Page 2 of the Service Contract, which stated, in pertinent part:

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Liability and Remedies. As specifically authorized by the FMC Regulations [46 C.F.R. 530.3(q) (“The contract may also specify provisions in the event of nonperformance on the part of any party)], the Service Contract contains provisions defining Complainant’s and Respondent’s respective liabilities and establishing the remedies respectively available to each of them, including liquidated damages. In this respect, Article 11 of the Service Contract states (emphasis added):

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[RPFF28].

Complainant expressly admitted that these provisions “govern the remedies either party may pursue in the event of non-performance.” Response to Request for Admission 20 (RX_000144).

Thus, under Article 11:

- Each Party agreed that Article 11 would provide its “exclusive remedy” in the event of breach or non-performance by the other Party.
- If MSRF did not tender its MQC, Yang Ming’s exclusive remedy against MSRF would be via liquidated damages for the shortfall, in the amount of \$125 for each TEU by which the sum of MSRF’s tenders was less than the MQC.
- Yang Ming’s obligation to provide space was conditioned by circumstances, including requirements for timely booking and commercial considerations. Thus, Yang Ming would be responsible for failing to provide requested space if and *only* if:
 - Yang Ming received seven working days’ booking notice; and
 - the inability of Yang Ming to provide the requested space was not the result of force majeure or circumstances outside Yang Ming’s control.
- If Yang Ming failed to provide MSRF space to which MSRF was entitled, and which MSRF requested, under the Service Contract, MSRF’s “exclusive remedy” was “a reduction of the Minimum Quantity Commitment by the quantity of cargo tendered.”
- Yang Ming would have no liability for any “direct, consequential or other damages under this Contract.”¹⁰

As detailed in Respondent’s Proposed Findings of Fact, the Service Contract was amended seven times, each time by mutual agreement of, and signing by, the Parties. [RPFF31; [RPFF32]. MSRF does not dispute this. [See, Response to Supplemental Interrogatory 6. RX_000151]. The majority of these amendments were intended to help MSRF obtain space in a

¹⁰ Although MSRF at one time suggested that it might seek consequential damages, it has not in fact done so, apparently recognizing that the Service Contract it signed governs the remedies potentially available.

difficult market. Among other things, new ports/port pairs were added to allow transportation on potentially less congested routes, and new rates were added to permit both intermodal and port-to-port options. The final amendment, effective April 18, 2022, reduced the MQC to 10 TEUs. [RPFF40; RPFF41]. This reduction of the MQC had the effect of: (i) freeing MSRF from potential liquidated damages for failure to tender the MQC [see Article 11(A) of the Service Contract, quoted above], and (ii) concomitantly freeing Yang Ming of any obligation to provide MSRF space above the new 10 TEU MQC (although Yang Ming did so anyway).

B. Performance Under the Contract

At the time the Service Contract went into effect, the world of international ocean transportation was in the midst of an unanticipated and unprecedented maelstrom. As discussed in Respondent's Proposed Finding of Fact, [RPFF51], and as documented by the Commission itself, demand for imports, which had been sharply and significantly depressed, suddenly began to spike,¹¹ catching everyone by surprise and resulting in record-breaking carriage of imports by ocean common carriers and demands on U.S. ports, terminals, rail carriers and truckers. These unprecedented disruptions to the supply chain, along with congestion, and shoreside COVID restrictions at both ends of the TransPacific, caused severe and protracted TransPacific vessel delays, removing a significant proportion of functional vessel capacity from the market,¹²

¹¹ See Final Report of Fact Finding No. 29 at 10:

“During the first half of 2020, there was a tremendous decrease in the demand for most goods, as countries worldwide went into lockdown. However, this decline did not last long. By summer 2020, demand for U.S. imports exploded.”

¹² See Final Report of Fact Finding No. 29 at 41 (“[s]upply chain congestion globally further decreased the available supply of ship capacity”). The link between vessel delay and lost capacity is easily understood and easily demonstrated by a hypothetical example. Consider a 20,000 TEU vessel that normally makes a round trip in 30 days. If, due to port congestion, that

disrupting vessel schedules, and stretching to the limit every part of the inland intermodal supply chain. As Commissioner Dye reported in her Final Report in Factfinding No. 29:

The increased demand shocked the U.S. international ocean freight delivery system. . . .

Soaring demand for goods in the United States also led to record cargo volumes at major U.S. ports. . . .

Beginning in the fourth quarter of 2020, the United States and the world at large was faced with increased challenges as the Covid-19 pandemic and its effects disrupted our global ocean supply chain. Increased demand exposed existing problems in the international ocean supply chain, leading to extreme supply chain port and marine terminal congestion.”

The surge in demand, and resultant flood of imports, affected not only the ocean carriers, but also port/landside transportation services. As Chairman Maffei explained:

“The biggest challenge is not to get the ocean carriers and seaports to process and carry more cargo, but how to address and resolve issues in the U.S. in the U.S. domestic networks and infrastructure that are even more severe limitations on the supply chain’s capacity. The availability of intermodal equipment, warehouse space, intermodal train service, trucking, and enough employees in each of those sectors remain challenges.”¹³

Fact Finding Investigation 29, Final Report, *Effects of the COVID-19 Pandemic on the U.S. International Ocean Supply Chain: Stakeholder Engagement and Possible Violations of 46 U.S.C. § 41102(c)* (May 31, 2022)(available at <https://www2.fmc.gov/readingroom/docs/FFno29/Fact%20Finding%2029%20Final%20Report.pdf/>).

round trip is extended to 45 days, it can only make two round trips, instead of three, in the course of 90 days. That translates to an effective loss of about 80,000 TEUs over the course of a year. Now multiply that by the roughly 2,000 containerships that were then operating in the U.S.-foreign trades.

¹³ Testimony of Daniel B Maffei, Chairman, Federal Maritime Commission, Before the Subcommittee on Coast Guard and Maritime Transportation, House Committee on Transportation & Infrastructure (April 27, 2022)(available at <https://www.fmc.gov/testimony-of-chairman-maffei-before-congress-review-of-fiscal-year-2023-budget-request-for-the-coast-guard-and-maritime-transportation-programs/>).

This strain on the domestic supply chain added to the international difficulties. Ships waiting to unload in Southern California had an exceptionally long wait – sometimes backing up to over 100 vessels at sea. As a predictable result of the congestion and insufficient rail/truck capacity, both empty and full containers stacked up at ports such as Los Angeles and Long Beach, creating additional congestion. Similarly, ports in China closed down as part of that country’s “zero-COVID” policy. RX_000082-000118. And other incidents leading to the delay and diversion of vessels occurred as well. RX_000127-RX000132.

One consequence of this mismatch between demand for and effective supply of vessel capacity was that rates went up, as we all know, and as basic economics tells us they will.¹⁴ Another result, attested to by the number of formal, informal, and charge complaints filed at the FMC, is that ocean common carriers generally were unable to provide all their shipper customers – even their large customers such as Bed, Bath & Beyond¹⁵ – with all of their contracted space. This problem was exacerbated by a frequent lack of equipment (especially empty containers) on both sides of the TransPacific.¹⁶

¹⁴ As Commissioner Dye concluded, increased rates resulted from the normal interplay of supply and demand, rather than any manipulation by market participants. See Final Report at 6 (higher prices were “the product of the market forces of supply and demand”); *id.* at 44 (“the increased rates [in the transpacific] are a result of an extreme spike of consumer demand in the United States that overwhelmed the supply of ship capacity”).

¹⁵ See Docket No. 23-02, *Bed, Bath, and Beyond, Inc. v. Orient Overseas Container Line, Ltd.*, served April 27, 2023. See also, Docket No. 21-05, *MCS v. Mediterranean Shipping Co.*

¹⁶ Commissioner Dye in her Final Report on Fact Finding No. 29 identified this shortage of equipment (in particular, containers): “The number of shipping containers in circulation during the second half of 2020 was insufficient to meet the higher than anticipated consumer demand for imports.” Final Report at 11. *Id.*, at 41 (“[s]upply chain congestion globally further decreased the available supply of ship capacity and container availability”).

Not surprisingly, this unprecedented squeeze on capacity affected both parties' ability to perform under the Service Contract. MSRF did not tender 100 TEUs to MSRF (and MSRF does not assert otherwise). [RPFF81; RPFF82].

Nor, as we know, did Yang Ming carry 100 TEUs of MSRF cargo.¹⁷ Rather, due to the unique circumstances, and specific problems posed by MSRF, such as its own trucker refusing to carry on business with MSRF and multiple cancellations of previously booked cargo by MSRF, Yang Ming was able to transport only 17 TEUs of MSRF's cargo.¹⁸ [RPFF50]. This, however, is significantly larger (by 70 percent) than the MQC of 10 TEUs that the Parties agreed to on April 18, 2022.

Factors beyond the general lack of capacity and equipment also played a significant role in MSRF's specific problems obtaining space. As just one example, MSRF apparently made one of its designated truckers unhappy and that trucker refused to continue doing business with MSRF. [RPFF108]. To address this situation Yang Ming agreed to amend the Service Contract to add the Container Yard in Chicago as a destination point, so that alternative arrangements for drayage could be made. Further, MSRF was a difficult customer – not due to its character, per se (although there were some condescending and belittling emails sent by MSRF to Yang Ming personnel), but due to the inconsistent and unpredictable nature of MSRF's transportation needs. [RPFF74-RPFF104]. MSRF repeatedly made bookings with Yang Ming, then canceled or reduced its booking, without tendering the cargo. [RPFF81-RPFF92].

¹⁷ As MSRF never tendered 100 TEUs to Yang Ming during the relevant period (and nowhere asserts that it did), it would have been impossible for Yang Ming to carry that amount.

¹⁸ Accordingly, Complainant's claim in both the Opening Brief (CBR at 4) and the Reich Affidavit (CX_0002 ¶9) that Yang Ming transported only 10.75 TEUs of MSRF cargo is simply wrong, as conclusively demonstrated by the actual lifting reports. RX_000306-000308 (Exhibit A to the Goeke Declaration).

The Parties did, however, have discussions throughout the term of the Service Contract as to how MSRF might obtain additional space on Yang Ming's vessels. As explained in the Proposed Findings of Fact, [RPFF105-RPFF107], Yang Ming on its own initiative proposed alternative routes for MSRF cargo and suggested alternative dates and ways for MSRF to move its cargo. Importantly, however, Yang Ming never requested or even suggested that MSRF pay higher rates for additional space.¹⁹ [Complainant's Response to Supplemental Interrogatory 8 (RX_000152)] Indeed, when MSRF offered to pay more for guaranteed space, Yang Ming declined – telling MSRF that, as it had told multiple other shippers seeking space in an unprecedented market, offering to pay more would not help MSRF obtain space or equipment that simply was not available. [RPFF72].

All this aside, the critical aspect of the above is that the Service Contract as amended indisputably contained *an MQC of 10 TEUs* and Yang Ming indisputably carried *17 TEUs* of MSRF's cargo. As discussed in more detail below, this by itself totally disproves Complainant's assertion that it did not get all of the space to which it was entitled under the Service Contract – in fact, it got 70 percent *more*.

C. This Proceeding

Despite Yang Ming's demonstrable overperformance, on August 19, 2022, MSRF filed the Complaint commencing this proceeding. In the Complaint, MSRF asserted that, even though it had agreed to an amended MQC of 10 TEUs, and actually received 17 TEUs of transportation from Yang Ming, it was, for some unexplained reason, entitled to more (indeed much more).

¹⁹ See [RFPP72]. (MSRF admitted that Yang Ming never charged it a rate higher than that in the Service Contract).

Although the Complaint set forth five counts of alleged violations by Yang Ming (two of which have since been abandoned, one formally, the other informally) they all boil down to one essential gripe – that Yang Ming violated the Service Contract by failing to provide MSRF with space beyond the 10 TEUs to which the Parties had agreed. Thus, Allegation 55 of the Complaint asserts that MSRF’s claims against Yang Ming (all of them) are based on Respondent “failing to perform under the Service Contract.” More directly to the point, the CBR states that “Yang Ming failed to comply with its obligations under its service contract with MSRF *that serves as a basis for various statutory violations* by not providing the requisite number of twenty-foot equivalent units.” [CBR at 2 (emphasis added)].²⁰ To like effect [see CBR at 1 (emphasis added)] – the Complaint was filed “[a]s a result of Yang Ming’s failure to comply with its obligations under the relevant service contract *that serves as a basis for violations of various statutes* by failing to provide the required minimum quantity commitments.” As a result, all of the counts are subject to dismissal pursuant to 46 U.S.C. 40502(f), which as discussed in detail below regarding Complainant’s purported claim under 46 U.S.C. 41104(a)(2), states that the courts, not the Commission, have exclusive jurisdiction over claims based on breach of service contract (“Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court”).

Respondent filed its Verified Answer (with Exhibits) on September 13, 2022, and the matter thereafter wended its way through discovery – slowly, due to Complainant’s repeated failure to produce timely responses, and multiple requests for extensions of time, as well as the

²⁰ See CBR at 2-3 (“Yang Ming breached its contractual service commitment”).

need for Complainant to twice file motions to compel.²¹ On April 21, 2023, Complainant filed what it denominated as a motion for summary judgment, even though the Procedural Schedule called for a brief, not a motion. The Presiding Officer promptly ordered that the motion be deemed MSRF's Opening Brief. Today, Respondent files its Brief in Opposition, Responses to Complainant's Proposed Findings of Fact, Proposed Findings of Facts, and Appendix, showing that all of Complainant's purported claims must be dismissed and the proceeding discontinued.

D. Summary of Argument

Although it is clear as a matter of fact that Yang Ming did not breach the Service Contract, we nevertheless go on to demonstrate that each and every count of the Complaint must be dismissed both as a matter of law and as a matter of fact. Finally, we show that, apart from MSRF's failure to prove its claims, it has not demonstrated either (i) a right to reparations or (ii) the amount of its alleged damages. In sum:

1. 46 U.S.C. 41102(c) (Count I)

As a matter of law, the FMC does not have jurisdiction over this count because 46 U.S.C. 41102(c) expressly applies, by its terms, *only* to practices related to "receiving, handling, storing, or delivering property," and the Commission has repeatedly held that disputes regarding the provision of space are *not* connected to the receiving, handling, storing, or delivering of property. See, e.g., *D.I. Piazza Co. v. West Coast Line, Inc.*, 3 F.M.C. 608, 616 (1951) (holding that 46 U.S.C. 41102(c) does not apply to the provision of space); *Definition of Package*, 23 S.R.R. 111, 114 (1985) (46 U.S.C. 41102(c) and its predecessor "do not empower the Commission to address

²¹ Although Respondent continues to believe that Complainant's discovery responses were woefully deficient, Yang Ming's argument on the merits is so strong that such issues need not concern us here.

unjust or unreasonable carrier activity that relates to the transportation of property”); *Los Angeles By-Products Co. v. Barber S.S. Lines*, 2 U.S.M.C. 106, 113-14 (1939); *Bills of Lading - Incorporation of Freight Charges*, 3 U.S.M.C. 111, 113 (1949); *Time Limit on the Filing of Over Charge Claims*, 10 FMC. 1, 7 (1966).

Further, Complainant has not made even the feeblest attempt to prove any of the factual elements of its claim. It has not even attempted to define or show a “practice” – i.e., that Respondent Yang Ming took the same, uniform action on a “normal, customary, and continuous basis -- or that Yang Ming’s actions were unreasonable in light of the unique circumstances prevailing in the industry and the broader world of international ocean and intermodal transportation during the relevant period.

2. 46 U.S.C. 41104(a)(2) (Count II)

The Commission does not, as a matter of law, have subject matter jurisdiction over MSRF’s claim under 46 U.S.C. 41104(a)(2). That prohibition applies to a carrier’s failure to provide service in accordance with the terms and conditions of the governing tariff or service contract. But such disputes are, as the Commission has ruled, inherently breach of contract claims that Congress deliberately diverted from the FMC to the courts. 46 U.S.C. 40502(f) (“Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court”). See *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635, 1645 (FMC 2000) (claims under 46 U.S.C. 41104)(a)(2) are presumptively breach of contract claims that must be dismissed under 46 U.S.C. 40502(f)). MSRF has failed to provide (or indeed even mention) any unusual circumstances that might bring its claim outside the *Cargo One* presumption. Quite to the contrary, it has repeatedly trumpeted the assertion, both in the

Complaint and in its Opening Brief, that its claims are founded exclusively on the allegation that Respondent breached the Service Contract.

Count II also fails as a matter of fact. As discussed above, Yang Ming was required only to provide MSRF with enough space over the course of the Service Contract to meet the MQC – 10 TEUs. Yang Ming not only met that obligation but exceeded it **by 70 percent**.

3. **46 U.S.C. 41104(a)(5) (Count III)**. Complainant has expressly abandoned this claim. CBR at 1 n.1 (“MSRF is no longer proceeding on Count III (Violation of 46 U.S.C. 41104(a)(5))”). In any event, Count III must fail for the same reason as Count IV, discussed immediately below.

4. **46 U.S.C. 41104(a)(9) (Count IV)**. Although you would not know it from the CBR, Complainant has also abandoned its Count IV claims under 46 U.S.C. § 41104(a)(9). On March 10, 2023, in response to Respondent’s interrogatories, Complainant expressly stated:

“Pursuant to the Commission’s decision in *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S/ & Co., KG and Hamburg Sud North America, Inc.*, FMC Docket No. 21-11 (August 31, 2022), ***the claims asserted by MSRF in Allegations 18 and 19 of the complaint are not violations of 46 U.S.C.A Sections 41104(a)(5) and (9).***”

Response to Interrogatories 27 & No.28; RX_000147(emphasis added).

Even if Complainant had not abandoned its Count IV claim, its claim would in any event need to be dismissed for failure to make out a claim, based on the precedent cited in the above quote from Counsel for Complainant. *OJ Commerce LLC v. Hamburg-Sud*, 2022 LEXIS 358 [RX_000147] (ALJ, Admin. Final 2022). That decision, quoted at length below, holds that allegations of the sort made by Complainant do not state a cause of action under either 46 U.S.C. 41104(a)(5) or 46 U.S.C. 41104(a)(9). We are astonished that Complainant has tried to

resuscitate the claim under 46 U.S.C. 41104(a)(9) (but not 46 U.S.C. 41104(a)(5)) without addressing either: (i) its prior abandonment of the claim or (ii) the precedent that it previously identified as precluding its claim under 46 U.S.C. 41104(a)(9).

5. **46 U.S.C. 41104(a)(10) (Count V)**. This section of the Shipping Act states that an ocean common carrier may not “unreasonably refuse to deal or negotiate.” As interpreted many times by the Commission, this section requires much more than an assertion that an ocean carrier did not agree to a contract containing the terms preferred by the shipper, or even that the parties did not reach agreement at all. Rather, the prohibition applies only where a carrier entirely “shuts out” the shipper. Yang Ming did not in any way shut out MSRF. Instead, it negotiated and agreed to a contract with MSRF, entered into amendments to that contract designed to benefit MSRF, some of them proposed by Yang Ming itself, offered MSRF regular space (which MSRF declined), and was consistently responsive in attempting to find space for MSRF in extraordinarily difficult circumstances.

6. **Claim for Reparations**. Because Complainant cannot establish any violations of the Shipping Act, its claim for reparations is moot. But even assuming *arguendo* that Complainant had established a violation, it has failed on multiple grounds to prove its right to reparations. Among other things:

a. The Service Contract itself forecloses an award of reparations. It establishes the “exclusive remedy” for any Yang Ming failure to meet its carrier commitment, and that remedy is limited to a reduction in MSRF’s MQC to eliminate potential liquidated damages. MSRF has already received that relief.

b. The damages summary upon which Complainant relies as its sole proof of “actual injury” is inadmissible and fails to show or quantify “actual injury” with competent evidence of the degree of certainty required by the Shipping Act and FMC precedent.

c. Complainant’s theory of “average” injury is inconsistent with the Shipping Act requirement of “actual” injury and with FMC caselaw interpreting the actual injury requirement.

d. Complainant has failed to prove payment of the bills allegedly supporting its damages summary.

e. Complainant has failed (indeed has not even tried) to demonstrate that the alleged violations by Yang Ming were the proximate cause of Complainant’s alleged injury.

ARGUMENT

Before addressing the individual claims raised by Complainant, we pause for a very brief word about the burden of proof. As the Commission has explained:

“Under the Administrative Procedure Act (APA) and Commission precedent, Complainants have the burden of proving Respondents violated the Shipping Act, and this burden of proof does not shift. 5 U.S.C. § 556(d); *DSW Int’l Inc. v. Commonwealth Shipping, Inc.*, 32 S.R.R. 763, 765 (FMC 2012).” *Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of the Galveston Wharves*, 3 F.M.C.2d 59, 67 (FMC 2021).²²

We demonstrate below that, to the extent, if any, that the FMC has jurisdiction over MSRF’s claims against Yang Ming, MSRF has not even come close to meeting its burden of proof under any of its four remaining counts.

²² See Commission Rule 203, 46 C.F.R. 502.203. We could of course cite many cases for this elementary point, but the principle is not, and cannot be, controverted, so we have chosen to save a bit of space in this otherwise lengthy brief.

A. **Yang Ming did not Violate 46 U.S.C. 41102(c)**

1. **The Commission Lacks Subject Matter Jurisdiction over the Claim**

46 U.S.C. 41102(c) (known prior to the codification of the Shipping Act as Section 10(d)(1) of the Shipping Act of 1984, and before, that as Section 17 of the Shipping Act, 1916) applies by its terms only to disputes “relating to or connected with receiving, handling, storing, or delivering property.” MSRF’s purported claim under 46 U.S.C. 41102(c), however, does not involve “receiving, handling, storing, or delivering property,” as that term has always been defined by the Commission. Rather, MSRF’s claim is about providing or not providing vessel space to customers, which the FMC has uniformly considered to be a “transportation” function, *not* “receiving, handling, storing, or delivering property.”²³

This understanding by the Commission as to the difference between the transportation function and the function of receiving, handling, storing, or delivering property dates back to at least 1939 in the case precedents we have identified, and undoubtedly earlier still. In *Los Angeles By-Products Co. v. Barber S.S. Lines*, 2 U.S.M.C. 106, 113-14 (1939) (emphasis added), for example, the Commission explained that Section 17 of the Shipping Act 1916, the predecessor to 46 U.S.C. 41102(c),²⁴ “relates to *services performed at the terminal* as distinguished from the

²³ This does not, however, mean that the Commission is powerless to address issues relating to space accommodation by carriers. The Shipping Act, as recently amended in part by the Ocean Shipping Reform Act of 2022, specifically authorizes the FMC to regulate, among other things: (i) unreasonable refusal of cargo space accommodations when available; (ii) for tariff service, any unfair or unjustly discriminatory practices in the matter of cargo space accommodations; and (iii) unreasonable refusals to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier.

²⁴ Section 17 of the Shipping Act, 1916 read much as 46 U.S.C. 41102(c) does today:

carrying or *transporting by the vessel*.” Subsequently, in *Bills of Lading - Incorporation of Freight Charges*, 3 U.S.M.C. 111, 113 (1949) (emphasis added), the Commission emphasized that Section 17 “is confined to the receiving, handling, storing, or delivering of property **to the exclusion of transportation** and rates, fares, and charges in connection therewith.” To like effect, in *Time Limit on the Filing of Over Charge Claims*, 10 F.M.C. 1, 7 (1966), the Commission stated categorically that Section 17 “relates only to practices relating to or connected with the receiving handling storing or delivering of property and its application has thus been confined to forwarding and terminal operations.”²⁵

Perhaps most directly relevant, the Commission in *D.I. Piazza Co. v. West Coast Line, Inc.*, 3 F.M.C. 608, 616 (1951) (emphasis added), expressly held that 46 U.S.C. 41102(c) does not apply to matters relating to vessel space, holding that the vessel owner’s action of selling vessel space to other customers “was *not* a practice connected with the handling, storing or delivering of property.” Similarly, in *Beaumont Port Commission v. Seatrain*, 3 F.M.B. 556, 561 (1951) the Commission concluded that “respondent’s equalization practice [an addition to the freight rate] is not a regulation or practice connected with the receiving handling storing or delivering of property within the meaning of Section 17(2) of the Act.”²⁶

“Every such carrier (common carrier by water in foreign commerce) and every other person subject to this act shall establish observe and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing, or delivering of property.”

²⁵ See, e.g., *North River Insurance Co. v. Federal Commerce and Navigation Co., Ltd.*, 20 S.R.R. 1078, 1084 (ALJ 1981) (“Respondent correctly points out that the paragraph relied upon by complainants has expressly been limited to the operations of terminals and forwarders”);

²⁶ See, e.g., *Heavy Lift Practices and Charges of Hapag-Lloyd*, 17 S.R.R. 505, 527-33 (ALJ), adopted 18 S.R.R. 1491 (1977); *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419-20 (ALJ 1962). We note that, in MSRF’s Reply Brief in Docket No. 22-20, it has tried to distinguish *J.M. Altieri*. Although its attempted distinction is specious, it makes no matter, given all of the other, more directly relevant, precedents cited above.

Although the Commission's interpretation of 46 U.S.C. 41102(c) as applying only to terminal and forwarding practices originated under the 1916 Act, it has been imported untouched into the 1984 Act. This congruence was made explicit in *Definition of Package*, 23 S.R.R. 111, 114 (1985) (emphasis added), where the Commission stated:

“Section 17 of the 1916 Act and Section 10(d)(1) of the 1984 Act deal with ‘just and reasonable regulations and practices’ relating to the ‘receiving, handling, storing, or delivery of property’ Sections 17 and 10(d)(1) **do not** empower the Commission to address unjust or unreasonable carrier activity that ***relates to the transportation of property.***”

Likewise, in *ANERA and Its Members - Opting Out of Service Contracts*, 28 S.R.R. 1215, 1229 (FMC 1999), the Commission expressly declined to address an alleged violation of Section 10(d)(1), stating that the respondents had made a “forceful case that the practices at issue here -- the service contract provisions stating line haul rates -- do not come within that section's limitation to the functions of receiving, handling, storing, and delivering cargo.”

In sum, the Commission's own interpretation of 46 U.S.C. 41102(c) conclusively shows that this section of the Shipping Act does not endow the Commission with subject matter jurisdiction to adjudicate Complainant's claim that Respondent failed to provide Complainant with vessel space.

Furthermore, as noted above and detailed below, Congress in 1984 specifically removed from the FMC the authority to address claims that a carrier breached its service contract with a shipper. It would be an insult to congressional intent, to precedent, and to common sense to say that the Commission can evade that congressional action by employing some other section of the Shipping Act, never before used to address the provision or allocation of vessel space, to address what Complainant not only admits, but emphasizes, is a pure breach of contract dispute.

2. Complainant has not Proven its Claim

Even if the FMC had subject matter over Complainant's 46 U.S.C. 41102(c) allegations (which it does not), Complainant would still be required to prove its claim. MSRF has not done so (or even really tried).

Under the Commission's Interpretive Rule on Unjust and Unreasonable Practices ("Interpretive Rule,") 46 C.F.R. 545.4, a complainant must prove four elements to make out a violation of 46 U.S.C. 41102(c), and also a fifth element if it seeks an award of reparations. In particular, to sustain a claim under 46 U.S.C. 41102(c), a complainant must prove:

- (a) that respondent is a common carrier as defined by the Shipping Act;
- (b) that the claimed acts or omissions of respondent are occurring on a normal, customary, and continuous basis;
- (c) that the practice or regulation is connected with receiving, handling, storing, or delivering property; and
- (d) that the practice or regulation is unjust or unreasonable.

To obtain reparations for any such violation, a complainant must further demonstrate that the challenged practice or regulation is the proximate cause of the claimed loss.

Respondent acknowledges that it is a common carrier and addresses the issue of proximate cause in Part E, below. In this section, we show that Complainant has failed to prove any of the remaining essential elements.

a. Complainant has not demonstrated that any denials of space were connected with the receiving, handling, storing, or delivering of property

As already demonstrated in the context of subject matter jurisdiction, Complainant's assertion that Respondent failed to carry on its vessels all of the containers allegedly promised in

the Service Contract is not, under the FMC's own longtime interpretation, a matter connected with the receiving, handling, storing, or delivering of property. Rather, it relates to the transportation function -- i.e., the terms and conditions to which the Parties agreed (as set forth in the Service Contract) with respect to the ocean transportation by Yang Ming of MSRF cargo and to the Parties' performance thereunder.

b. Complainant has not demonstrated a practice

46 U.S.C. 41102(c), by its terms applies only to "regulations and practices." For present purposes, we use the term "practice" to represent both regulations and practices, although there is no suggestion (or mention) of any "regulations" anywhere in Complainant's Opening Brief. And as stated above, the Interpretative Rule defines the term "practice" to mean only acts or omissions that a carrier takes on a normal, customary, and continuous basis.

Complainant's Opening Brief does not even use the word "practice," other than in describing the statutory provision itself. And apart from its formulaic recitation that "Yang Ming's acts occurred on a normal, customary, and continuous basis," [CBR at 4], Complainant does not say a word, or offer a shred of evidence, about the existence of a practice.²⁷ Although this by itself should be sufficient for the Presiding Officer to reject MSRF's claim, we nevertheless show why Count I must be dismissed for failure of proof in any event.

²⁷ This not surprising, given that the essence of MSRF's claim is not about any Yang Ming practices, none of which are referenced, but rather "Yang Ming's failure to comply with its obligations under the relevant service contract." [CBR at 1] See [CBR at 2 ("Yang Ming failed to comply with its obligations under its service contract with MSRF")]; [CBR at 3-4 ("In the May-December 2021 period, Yang Ming breached its contractual service commitment")]. As these quotations show, MSRF's alleged Shipping Act claims are in reality just thinly disguised, garden-variety breach of contract claims. It makes no sense to say that a breach of a singular service contract constitutes a "practice."

i. The Legal Requirements

The Interpretative Rule, including the preambles to the Proposed and Final Rules and the precedents cited in those preambles, as well as decisions rendered before and after the Interpretive Rule was promulgated, make clear that the requirement of a “normal, customary, and continuous basis” is not to be taken lightly or to be given a cursory analysis. As the Commission explained in the preamble to the Final Rule:

“In drafting the 1916 Act, and through its revisions and reenactment in 1984, Congress chose the word “practice” and the phrase, “establish, observe, and enforce just and reasonable regulations and practices,” to describe actions or omissions engaged in on a ***normal, customary, and continuous basis***. . . . To find a violation of § 41102(c), the Commission consistently required that the unreasonable regulation or practice was the ***normal, customary, often repeated, systematic, uniform, habitual, and continuous manner*** in which the regulated common carrier was conducting business.”

Final Rule, Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (December 17, 2018)

The requirement that the alleged acts and omissions be proven to occur on a “normal, customary, often repeated, systemic, uniform, and habitual, and continuous” basis reflects the purposes of the Interpretative Rule, which were two-fold. The first was to intentionally restrict the category of claims that could be brought at the Commission, leaving other claims to be resolved pursuant to dispute mechanisms in other forums (such as federal courts and arbitration) applying non-Shipping Act law, such as contract law, agency law, and/or federal maritime law:

“The Commission is aware that the interpretive rule may prevent some claims from being brought under the Shipping Act. Matters that may previously have been brought under § 41102(c) however, can still find resolution in other provisions or regulations of the Shipping Act or be adjudicated as matters of contract law, agency law, or admiralty law.”

Final Rule, *Interpretive Rule, Shipping Act of 1984*, 83 Fed. Reg. 64478, 64479 (December 17, 2018).²⁸

The Commission's deliberate decision to shift certain types of claims from the FMC to the courts, arbitration, or other forums was not made to lighten the Commission's workload. Rather, it was intended to meet congressional intent, as expressed in the Shipping Act, and to improve the ability of the Commission to act in its own jurisdictional sphere, by focusing on cases where the actions of regulated entities affected not just a complainant or single/small group of regulated entities, but rather the shipping public as a whole. As the Commission explained in the preamble to the Proposed Rule:

"This interpretation restores § 41102(c) to its proper function and purpose under the Shipping Act of 1984 and will return the Commission's focus and priorities to the activities of maritime regulated entities that negatively affect the broader shipping public – all as intended by Congress in its enactment of the 1916 Act and the 1984 Act." Docket No. 18-06, Preamble to the Proposed Rule at 4.

And in the preamble to the Final Rule:

"This rule restores the Commission's interpretation of § 41102(c) to its pre-2010 understanding and returns the Commission's focus and priorities to the activities of maritime regulated entities that negatively affect the broader shipping public.

....

The Commission believes that this rule returns § 41102(c) to its proper purpose and allows the Commission to better meet its mission as intended by Congress."

Notice of Proposed Rulemaking, *Interpretive Rule, Shipping Act of 1984*, 83 Fed. Reg. 45367, 45368 (September 7, 2018).

As the above quotations also illustrate, another intended purpose of the Interpretive Rule was to restore the original understanding of the Shipping Act, as exemplified in FMC cases cited

²⁸ See also Notice of Proposed Rulemaking, *Interpretive Rule, Shipping Act of 1984*, 83 Fed. Reg. 45367, 45372 (September 7, 2018): ("[t]hough the Commission is aware that the interpretive rule may redirect some claims in certain fact situations from being brought under the Shipping Act, the Commission believes that existing alternative avenues of redress are fully sufficient to address those cases").

by the Commission, such as *Stockton Elevators, Certain Practices of*, 3 S.R.R. 605, 618 (FMC 1964); *European Trade Specialists v. Prudential-Grace Lines*, 19 S.R.R. 59, 63 (FMC 1979); *Kamara v. Honesty Shipping Service*, 29 S.R.R. 321 (ALJ 2001); *Intercoastal Investigation*, 1935, 1 U.S.S.B.B. 400, 432 (1935); *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416 (ALJ 1962); and *A.N. Deringer, Inc. v. Marlin Marine Services, Inc.*, 25 S.R.R. 1273 (SO 1990), as well as court cases such as *Whitam v. Chicago, R.I. & P. Ry. Co.*, 66 F. Supp. 1014 (N.D. Tex. 1946); *Wells Lamont Corp. v. Bowles*, 149 F.2d 364 (Em. Ct. App. 1945); *J.C. Francesconi v. Baltimore & O. R. Co.*, 274 F. 687 (S.D.N.Y. 1921); and *McClure v. Blackshere*, 231 F. Supp. 678, 682 (D. Md. 1964). It is therefore worth examining some of these older precedents, as well as cases decided after the Interpretative Rule went into effect on May 18, 2020.

In *Stockton Elevators*, for example, the Commission held that actions taken in six instances (five grants of an allowance and one wharfage reduction) could not be considered a “practice”:

“It cannot be found that the Elevator engaged in a ‘practice’ within the meaning of Section 17. The essence of a practice is **uniformity**. It is something **habitually** performed and it implies **continuity** . . . the *usual* course of conduct. It is not an occasional transaction such as here shown.” 3 S.R.R. at 618 (emphasis added, ellipses in original).

Likewise, in *European Trade Specialists*, the Commission rejected the complainant’s assertion that the respondent ocean carrier had violated the Shipping Act by failing to notify the shipper/consignee of a problem with its commodity classification. In so doing, the Commission held that complainant had not made out a violation, because it did not establish that the alleged wrongful act -- failure to notify -- was a practice, regularly followed with respect to shippers in general (not just complainant). In this respect, the Commission stated that, unless the

respondent's "normal practice was not to notify the shipper, such adverse action cannot be found to violate the section **as a matter of law.**" 19 S.R.R. at 63 (underlining in original, emphasis added).

These and other cases create a dividing line between: (i) circumstances where a regulated entity repeated the same action over and over again as a matter of custom and practice with respect to shippers generally, with (ii) circumstances where the actions complained of were limited to one customer, or was sporadic, infrequent, small in number, or isolated. In *A.N. Deringer, Inc.* 25 S.R.R. at 1276 (SO 1990) (italics in original), for example, the Settlement Officer held that, even if the alleged activity was unreasonable:

"[T]he sustaining of an alleged violation of Section 10(d)(1) requires more than the showing of unjust or unreasonable activity. It requires that the complainant prove failure: 'to establish, observe, and enforce just and reasonable regulations and practices' . . . If [Respondent] did act improperly, only the existence of an isolated error has been demonstrated. Nothing in the record casts light upon its regulations or practices, and this constitutes a fatal flaw in [Complainant's] case."

And in *Altieri*, 7 F.M.C. at 420 (italics in original, citations omitted):

"If the action of respondent were one of a series of such occurrences, a *practice* might be spelled out that would invoke the coverage of Section 17. However, the action of respondent is an isolated or 'one shot' occurrence. Complainant has alleged and proved only the one instance of such conduct. It cannot be found to be a '*practice*,' within the meaning of the last paragraph of Section 17."

Finally, in *Kamara*, the Settlement Officer explained: "A series of cases alleging Section 10(d)(1) violations has established that a complainant must demonstrate regulations and practices, as opposed to identifying what might be an isolated error." 29 S.R.R. at 322 n.8 (citing *Brunner v. OMS Moving Inc.*, Docket 1745(I) (SO, Admin. Final 1994)).

The court cases cited by the Commission in establishing the Interpretative Rule point just as sharply in the same direction. In *Wells Lamont*, for example, the court explained:

“According to dictionaries, both lay and legal, a practice is a custom or usage, a customary usage, something **habitually and uniformly** performed. It implies uniformity and continuity. To establish is to make stable or firm; to fix in in permanence and regularity; . . . to settle firmly or to fix unalterably . . .”149 F.2d at 366 (emphasis added).

The court there found that the activity complained of was followed in some instances, but not in other cases, so concluded that there was no showing of a “practice.”

In *Whitam*, the court emphasized, consistent with *European Trade Specialists*, that a “practice” typically must involve not only repetition, but also application to multiple customers. As the court explained, “The word ‘a practice’ as used . . . anywhere properly, implies **systematic** doing of the acts complained of, and usually as applied to carriers and shippers generally.” 66 F. Supp. at 1017 (emphasis added).²⁹ In *McClure*, 231 F. Supp at 682, the court explained:

“While conceivably a consistent course of conduct . . . might in time become a ‘practice,’ it is difficult to see how a single instance [of challenged conduct] could be so denominated. . . . ‘Practice ordinarily implies uniformity and continuity, and does not denote a few isolated acts, and uniformity and universality, . . . must characterize the actions on which a practice is predicated”

And finally, in *Francesconi*, 274 F. at 690-91 (emphasis added), the court held that the defendant’s actions were “not uniform,” which precluded the court from finding a practice;

²⁹ As the court in *Whitam* further explained:

“[Plaintiff] does not make it a practice even between them. Specific acts of violation of this rule does not constitute a ‘practice.’ . . .As far as the pleadings go, no other shipper was mentioned or involved . . .” Id.

stating that: “[o]ccasional and **even common** assertions of right do not make such a practice. Its essence is uniformity.”

Commission cases decided since the Interpretative Rule was issued confirm that the prior regime has been restored. In *Hangzhou Qianwang Dress Co. v. RDD Freight International Inc.*, 2 F.M.C. 2d 168 (FMC 2020), for example, the Commission held that three failures to deliver cargo to the correct party were not frequent or regular enough to constitute a practice. And in so holding, the Commission explicitly agreed with the Presiding Officer’s finding that the complainant’s assertion that Respondent “might have acted similarly regarding ‘other clients past and present’ was insufficient to prove normal, customary, and continuous conduct.” 2 F.M.C. 2d at 172. Likewise, in *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 2 F.M.C. 2d 224 (ALJ I.D. on Remand 2020), *aff’d*, 3 F.M.C. 2d 110 (FMC 2021), the Presiding Officer concluded that two similar actions by Marine Transport Logistics, LLC were not enough to make out a practice. The Commission affirmed, stating that: “[t]he essence of a practice is uniformity. It is something habitually performed and implies continuity . . . the usual course of conduct.” 3 F.M.C. 2d at 117 (citations omitted). Accordingly, the Commission held that:

Crocus has not proved that Marine Transport’s conduct occurred on a normal, customary, and continuous basis as required by § 545.4. Crocus points to only one prior occasion when Marine Transport was found in violation of § 41102(c) for conduct related to storage fees on export cargo, and that occurred in December 2007 and involved a single shipment of three vehicles. *Id.* at 111 (Citations omitted).³⁰

The Commission also reaffirmed its prior holdings that two, three, or six instances in a short period does not make out a practice.

³⁰ See *CMI Distribution, Inc. v. Service by Air, Inc.*, 3 F.M.C. 2d 83, 99 (FMC 2021)(dismissing claim under 46 U.S.C. 41102(c) “because it is not clear whether the conduct at issue occurred on a normal, customary and continuous basis”).

An "occasional transaction" or isolated act is not a "practice." *Stockton Elevators*, 8 F.M.C. at 201. **Two or three incidents over a short time period are not enough** to show that the conduct in question is an entity's normal and customary practice. *Hangzhou*, 2020 FMC LEXIS 192, at *7 (releasing 3 shipments to the same consignee without an original bill of lading over a 2-month period insufficient to show that was respondent's normal practice or that it was customary or continuous). **Even six** instances of "unreasonable conduct" carried out over a period of several months involving the same entities have been ruled **insufficient** to prove that conduct was "uniform or continuous" under § 41102 (or its predecessor, section 17 of the Shipping Act). *Stockton Elevator*, 8 F.M.C. at 200-201(charges to the same customer inconsistent with tariff rates on six occasions amounted to a 'single transaction'). *Id.* at 117-18 (emphasis added).³¹

ii. Complainant has not Proven a Practice

As explained at the very outset of the Argument, MSRF has the burden of proving, by probative evidence, that MSRF engaged in a "practice." MSRF in its Opening Brief does not even use the word "practice," other than to paraphrase the language of 46 U.S.C. 41102(c). Nor has MSRF anywhere defined what it thinks the wrongful practice might be.

Be that as it may, MSRF has provided no evidence to prove that Yang Ming committed any acts or omissions on a "normal, customary, and continuous" basis, beyond one rote lawyer's reference to the phrase. [CBR at 4]. Unlike a motion to dismiss, where well-pleaded allegations in a complaint are taken as true, no such rule applies to briefs or to proving one's case. At this stage, it is Complainant's obligation, as the party bearing the burden of proof, to prove actual facts, backed by credible and reliable **evidence** (not allegations in the Complaint or assertions of counsel). Complainant has failed to do so. At most, it has cited some isolated instances where Yang Ming was unable to carry cargo that MSRF attempted to book with Respondent.

³¹ To like effect, see *Marie Carew v. Maersk Line A/S*, 3 F.M.C. 2d 170 (I.D. 2021, Admin. Final), where the Commission concluded that **four** instances of alleged misconduct did not make out a practice.

Further, as discussed above, the Commission and court cases require that the party claiming a “practice” demonstrate that the opposing party engaged in the challenged activities with respect to customers generally, not just a particular customer. *European Trade Specialists*, supra, *Whitam*, supra. Or as the Commission said in *Hangzhou*: “The absence of evidence that Respondent unreasonably released the shipments of other shippers is also significant.” 2 F.M.C. 2d at 173. Complainant’s brief contains nary a word, much less evidence, demonstrating that this requirement is met.

In fact, the record shows the utter absence of any “systematic, uniform, habitual, and continuous” behavior by Yang Ming. Indeed, it reflects quite the opposite -- that the issue of space and equipment availability was decided on an *ad hoc* basis according to the particular facts and circumstances at the time. Sometimes, Yang Ming offered space, MSRF agreed and delivered the cargo to Yang Ming, after which Yang Ming transported it to destination. This happened for 17 TEUs. Sometimes, Yang Ming offered space, but MSRF declined. Sometimes Yang Ming offered space, which MSRF accepted, only for MSRF to cancel later. Sometimes, Yang Ming was unable to give MSRF the exact amount of space at the exact time and place MSRF wanted. Sometimes, there was no motor carrier availability to carry MSRF goods from the door to the terminal or from the terminal to the door, through no fault of Yang Ming, and at other times, MSRF’s preferred trucker refused to do business with MSRF, requiring Yang Ming to amend the contract so MSRF could make alternate arrangements. Sometimes MSRF’s agents were confused by MSRF’s instructions and about what MSRF wanted or needed, so did not communicate understandably with Yang Ming. The only uniform aspect of the parties’ relationship was that Yang Ming always took MSRF’s space requests seriously and endeavored to fulfill them if possible.

iii. **Complainant has not shown that the alleged practice, whatever it might be, was not just and reasonable**

As the party bearing the burden of proof (see above), Complainant is obligated to prove not only that Yang Ming engaged in a practice, which it has not, but also that such practice was not “just and reasonable.” MSRF has not even attempted to satisfy that burden; indeed, other than summarizing the text of 46 U.S.C. 41102(c), it does not mention the words “just” or “reasonable” in connection with its claim under that section. Although the matter could be left at that, we now show that Yang Ming’s actions were indeed just and reasonable, especially when measured against the economic turmoil prevailing during the term of the Service Contract.

For the reasons discussed at length in the Introduction and Summary, it barely needs saying that the period 2021-2022 was unique in many ways, and expressly so for ocean transportation. At the beginning of 2020, cargo flows were greatly reduced (both to and from the United States). RPFF54; RPFF62. But in late 2020, there began a sharply increased demand for transportation services, especially inbound.³² RPFF54; RPFF62; RPFF69; RPFF72.

As the Commission itself has documented, the year 2021 was beset by, among other things, severe congestion at U.S. ports (including vessels waiting at sea over 100 deep off the coast of Southern California) and closures of foreign ports, lack of available equipment (especially containers), inadequate trucking capacity and labor in the U.S., and a myriad of other problems.³³ RPFF57; RPFF59; RPFF65; RPFF72; RPFF102. As a result, the demand for international container shipping services to the United States far exceeded the effective capacity

³² This rapid switch from low demand to high demand is sometimes identified as a “bullwhip” effect, and if ever a year deserved that moniker, it was 2021.

³³ These and related problems are discussed in the Final Report on Fact Finding 29, as to which the Presiding Officer may take official notice. See, Final Report, Fact-Finding 29, *supra*, at 11, and notes 15-19.

of ocean common carriers serving the United States, especially for cargo between Asia and the U.S. West Coast (including service over that coast). RPFF57; RPFF59; RPFF65. Movements to/from inland locations were further constrained by the frequent unavailability of truck capacity. RPFF108-RPFF110. And the dearth of import containers created its own problems for exporters, making it difficult, along with the insufficient trucking capacity, for them to find space/equipment as well. [RPFF59].

Commission precedent says that, when there is a general shortage of space, as occurred here, a carrier meets its common carrier obligations if it allocates the limited space in a fair and reasonable manner. See, e.g., *Patrick Lumber v. Calmar Steamship Corp.*, 2 U.S.M.C. 494, 499 (1941). Indeed, Complainant has admitted that this is the law. Complainant's response to Respondent's Request for Admission 33. RX_000146.³⁴

Complainant nowhere claims, much less documents, that demand for Yang Ming shipping services did not exceed the capacity that Yang Ming had available in the U.S.-foreign trades. Indeed, MSRF's President stated quite to the contrary that MSRF did not expect to receive its entire MQC in light of the circumstances prevailing in 2021. RX_000239. Nor does MSRF say a word about how Yang Ming allocated limited vessel capacity among its many customers clamoring for space, much less prove that it was not fair and reasonable. Likewise, MSRF does not offer anything, and certainly not evidence, to counter the known facts that various types of equipment (especially containers) were in short supply on both sides of the Pacific and that

³⁴ Respondent's Request for Admission No. 33 (RX_000146): "When the demand for service during a particular time frame exceeds the available vessel capacity, the Shipping Act, as interpreted by the Federal Maritime Commission, requires that that common carrier reasonably pro rate its available capacity."

RESPONSE: "Admitted."

trucking power for door deliveries or drayage was often unavailable. [RPFF59; RPFF108-RPFF110].

Finally, it is surely relevant that, as discussed in Respondent’s Proposed Findings of Fact [RPFF81-RPFF92], and addressed further in the section immediately below, Yang Ming repeatedly offered space to MSRF (including regular, weekly space), that MSRF either declined or accepted but then canceled. Thus, MSRF’s inability to get all of the space it wanted, exactly when it wanted, no matter when the space was requested, in the midst of a global pandemic and an unprecedented spike in demand, was in substantial part a self-inflicted wound. In any event, it certainly did not arise from any “practice” by Yang Ming.

B. Yang Ming did not Violate 46 U.S.C. 41104(a)(2)

1. The Commission Lacks Subject Matter Jurisdiction over the Claim

46 U.S.C. 41104(a)(2) (prior to codification known as Section 10(b)(2) of the Shipping Act) prohibits an ocean common carrier from providing service in the liner trade that is “not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under . . . this title.”

In crafting this prohibition, however, Congress expressly determined that, when it came to service contracts, as opposed to tariffs, the *courts*, rather than the FMC, should have jurisdiction over claims that a carrier failed to adhere to its contract or failed to perform thereunder. Thus, 46 U.S.C. 40502(f) (prior to codification known as Section 8(c) of the Shipping Act) explicitly states: “Unless the parties agree otherwise, the *exclusive remedy* for a breach of a service contract is an action in an appropriate court.” (Emphasis added). This language originated in the Shipping Act of 1984 and was reaffirmed in the Ocean Shipping Reform Act of 1998, Pub. L. No. 105-258 (“OSRA”) (“[t]he bill would retain the 1984 Act

provision providing that the exclusive remedy for a breach of a service contract is an appropriate court, ***not the FMC.***") S. Rep. 61, 105th Cong., 1st Sess., p. 23 (1997) (emphasis added). This section thus, by its plain language specifically deprives the Commission of jurisdiction to hear claims in the nature of breach of contract claims,³⁵ such as failure to provide service in accordance with a service contract.

The Commission's case law recognizes this plain and clear congressional determination that claims in the nature of breach of contract, explicitly including claims under 46 U.S.C. 41104(a)(2), may ***not*** be heard by the FMC. In *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635, 1645 (FMC 2000) (emphasis added), for example, the Commission stated:

"We find that as a general matter, ***allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim.*** In contrast, whether the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency."

Further, the Commission made clear in *Cargo One* that, absent very unusual circumstances, any claim that a carrier violated 46 U.S.C. 41104(a)(2) ***is the equivalent of a breach of contract claim*** and so must be dismissed. There, the Commission mandated that jurisdiction be determined on a claim-by-claim, statutory section-by-section, basis. And to help

³⁵ Although the wisdom of Congress' choice is not at issue, only the indisputable fact that it made a choice, the decision to put cases that are in essence breach of contract cases in courts of general jurisdiction, rather than an agency of limited jurisdiction, seems especially sensible in the case of global contracts, such as the Service Contract. On what basis can the Commission assess compliance with contract requirements that extend to non-jurisdictional, foreign-foreign shipments and MQCs that could in theory be fulfilled without a single shipment to/from the United States. Indeed, it would seem outside the FMC's jurisdiction even to compel discovery responses concerning non-jurisdictional trades, especially in the context of private complaint proceedings.

Administrative Law Judges sort through the various types of claim that could or could not be heard before the FMC, the Commission created two categories – claims that would be presumptively within the jurisdiction of the FMC and those that would be presumptively outside its jurisdiction. As to the first category, the Commission specifically said that claims based on discrimination, preference or prejudice, or unreasonable practices would, as a general rule, be “appropriately brought before the Commission” because they rely on matters specific to the Shipping Act. But as directly relevant here, the Commission also stated that claims under 46 U.S.C. 41104(a)(2) (then Section 10(b)(12)) were “***substantially contract claims,***” and so should be dismissed, explaining that claims under 46 U.S.C. 41104(a)(2):

“are premised on the obligation to meet one’s contract commitments and ***are therefore essentially breach of contract actions*** which Section 8(c) renders not properly before the Commission in the absence of evidence offered by the complainant . . . that some ***extraordinary*** aspects of the allegation ***distinguish it substantially*** from a contract claim.” 28 S.R.R. at 1645.

The Commission remanded *Cargo One* to the Administrative Law Judge, to determine which claims might be heard and which had to be dismissed for lack of jurisdiction. He expressly recognized the import of the Commission’s decision, stating “it seems clear that the Commission intended that the ALJ dismiss the complaint herein as to Section [10((b)(2)].” 29 S.R.R. 620, 621 (ALJ, Admin. Final 2002).

This distinction between claims under 46 U.S.C. 41104(a)(2), which are essentially breach of contract claims, and those that implicate the special jurisdiction of the FMC was reaffirmed in *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 998 (FMC 2006), where the Commission stated: “[o]n remand, we direct the ALJ to address only those allegations involving Shipping Act violations, and any disputes previously addressed by

the Arbitrator that are based upon common law breach of contract claims shall remain binding upon the parties."

The case law is thus clear that claims under 46 U.S.C. 41104(a)(2) are the equivalent of breach of contract claims and so must be dismissed, absent "extraordinary" circumstances that make it substantially different from a breach of contract action, and so an appropriate claim for the FMC. As the Commission also explained in *Cargo One*, the application of 46 U.S.C. 40502(f) (then known as Section 8(c)) cannot be evaded merely by citing 46 U.S.C. Section 41104(a)(2), rather than the term "breach of contract," in the FMC complaint. Otherwise 46 U.S.C. 41104(a)(2) would be entirely meaningless:

"For Section 8(c) to have meaning, *it must have been intended to preclude the filing of some complaints of Shipping Act violations*, and not just breach of contract claims, as such claims would not be actionable before the Commission in any event." 28 S.R.R. a 1644³⁶

MSRF has alleged no "extraordinary aspects" of its claim under 46 U.S.C. 41104(a)(2) that might even arguably take this proceeding outside the scope of 46 U.S.C. 40502(f). Quite to the contrary, MSRF repeatedly emphasizes that its claims (even beyond 46 U.S.C. 41104(a)(2)) are based solely on the allegation that Yang Ming breached the Service Contract by failing to meet its space commitment thereunder. Thus, Allegation 55 of the Complaint asserts that

³⁶ As the Commission explained in *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213, 1220 (FMC 1990):

"Courts have made it clear that federal agencies must give effect to every word of as statute so that no part will be rendered inoperative, superfluous, void or insignificant."

See, e.g., *National Association of Recycling Industries, Inc. v. ICC*, 660 F.2d 795, 799 (D.C. Cir. 1981); *In re Surface Mining Regulation Litigation*, 627 F.2d 1346, 1362 (D.C. Cir. 1980).

MSRF's claim is based on Respondent "failing to perform under the Service Contract" [Compl. 55]. Likewise, in its Opening Brief, Complainant thrice asserts (in only five pages) that its claims are all based on Yang Ming's alleged breach of the Service Contract. [See quotations above from the CBR]. Accordingly, Commission jurisdiction over MSRF's purported claim (indeed all of its claims, but certainly its claim under 46 U.S.C. 41104(a)(2)) is plainly pretermitted by 46 U.S.C. 40502(f). See, e.g., *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 33 S.R.R. 512 (I.D. Granting Motion to Dismiss 2014).³⁷

2. MSRF Has Failed to Prove a Claim Under 46 U.S.C. § 41104(a)(2)

Even if the FMC did (as it does not) have jurisdiction over breach of contract claims in the guise of 46 U.S.C. § 41104(a)(2) violations, Complainant has not proven that Yang Ming deviated by a single inch from the provisions of the Service Contract. Indeed, if anything, Yang Ming exceeded the requirements of the Service Contract, all to the benefit of MSRF.

The record in this proceeding shows unequivocally that Yang Ming provided MSRF with every TEU to which MSRF was entitled by the Service Contract, and more. MSRF's contrary argument, if argument it may be called, expressly and exclusively relies for its claim of breach on the original MQC (and concomitant carrier commitment) of 100 TEUs, as set out in the unamended contract that became effective on May 1, 2021. But even under that improperly assumed and purely hypothetical scenario, the Service Contract itself would preclude

³⁷ In *Global Link*, the Presiding Officer held, based on *Cargo One*, that claims premised on the assertion that a service contract was amended by the parties' course of dealing were outside the FMC's jurisdiction because they were "inherently contract claims – questions of fact and interpretation of the service contract." He likewise held that issues relating to the carrier's alleged failures to perform under the contract, including carrier errors that sometimes made it impossible for Global Link to book cargo were "also inherently contract claims . . . not within the Commission's jurisdiction to decide."

reparations. MSRF did not tender 100 TEUs and Yang Ming did not provide space for 100 TEUs. In that scenario, MSRF would owe Yang Ming \$125 for each TEU of shortfall, while Yang Ming would need to reduce the MQC, and hence directly the carrier commitment, by each properly tendered TEU that Yang Ming did not carry for reasons within its control. This would, at best, end in a net of \$0. For example, if MSRF properly tendered only 50 TEUs and Yang Ming improperly declined them all, MSRF would initially owe Yang Ming \$125 per TEU for the shortfall of 50 TEUs, or \$6,250. But Yang Ming's failure to carry the 50 TEUs properly tendered would reduce the MQC to 50, eliminating the shortfall and resulting in a net of \$0.

In any event, this situation did not occur, because the actual MQC. and resultant carrier commitment, were reduced by agreement of *both* Parties to 10 TEUs. Yang Ming in fact carried 17 TEUs of MSRF cargo [RPFF50], well more than the MQC. Thus, the amendment foreclosed any claim by Yang Ming that MSRF owed it liquidated damages, and it equally foreclosed any claim by MSRF that Yang Ming failed "to make available sufficient vessel capacity adequate to carry . . . the Minimum Quantity Commitment ["MQC"] of cargo under the terms of this Contract." RX_000030 (Article 7 of the Service Contract, quoted above).

Although the effect of the amendment is nowhere addressed by Complainant in its Opening Brief, MSRF has formally admitted: (i) that the amendment was made with the consent of, and agreement by, MSRF (see Response to Supplemental Interrogatory 6 [RX_000151]); and (ii) that the amendment reduced the MQC to 10 TEUs. Response to Request for Admission 22 [RX_000144-RX_000145]. MSRF, however, acts as if the amendment was one sided – that it reduced MSRF's obligation to tender but not Yang Ming's obligation to provide space. That is literally impossible under the express terms of the contract, which explicitly determines the carrier obligation by direct reference to the shipper's MQC. Thus, the shipper and carrier

commitments necessarily moved in tandem. That is, if the shipper's MQC was raised higher, Yang Ming's obligation to provide space would go up by the same amount. Likewise, if the MQC was reduced, Yang Ming's space commitment, contractually measured by the MQC, would be reduced by the same amount. No other reading of the Service Contract is possible.

MSRF suggests that Yang Ming "breached its contractual commitment "by not providing MSRF with sufficient space during the period "May – December 2021." [CBR at 3-4]. Apart from again recognizing that MSRF's alleged Shipping Act claims are really breach of contract claims in disguise, Complainant's argument is without merit. MSRF does not point to anything in the Service Contract that required it to tender, or Yang Ming to carry, any amount of cargo over the specific time period May – December 2021 (or indeed any other period other than the full term of the contract). That is because there *is* nothing in the Service Contract that required MSRF to tender, or Yang Ming to carry, any specified amount of cargo over anything less than the full term of the Service Contract. Quite to the contrary, the Service Contract expressly contemplates that tenders and carriage would, to the extent reasonably possible, be "tendered evenly to Carrier for transportation *throughout the duration* of the Contract term."³⁸ Accordingly, that argument must fail. See *OJ Commerce*, supra, where Judge Wirth stated that a claim based on the carrier's alleged failure to provide a minimum amount of space must be dismissed because the Service Contract did not include an enforceable commitment for the carrier to provide any amount of weekly space, but rather contained only an annual MQC and a shipper obligation to tender cargo in a reasonably spaced manner. Slip op. at 51-52.

³⁸ As demonstrated above (p. 6, n. 6), Complainant's assertion that the Service Contract provided for shipments at "agreed intervals" is simply and flatly incorrect.

Similarly, Complainant's Opening Brief says that it suffered damage through Yang Ming's refusal to provide space when requested by MSRF. [CBR at 4]. But it points to nothing (and there is nothing) in the Service Contract that gave MSRF a right to space on request, much less when and where it wanted. Indeed, MSRF has admitted the direct opposite - that nothing in the Service Contract required Yang Ming to provide service at a particular time or on a specific route. Instead, as in *OJ Commerce*, the Service Contract provided for MSRF to do its best to tender cargo evenly throughout the term of the contract and conditioned Respondent's obligation to carry on (i) timely tender/booking of cargo by MSRF and (ii) the absence of interference from events outside Yang Ming's control.

What Complainant is really asking the Commission to do is to rewrite the Service Contract so as to add terms not included therein and to ignore amendments to which Complainant admits it agreed. The Shipping Act, however, does not give the Commission any such authority. Yang Ming provided MSRF with the full 10 TEUs (and more) required by the Service Contract as amended. Further, as discussed in more detail below with respect to Complainant's claim for reparations, the Service Contract provides a specific, and exclusive remedy if, as MSRF wrongly asserts, Yang Ming did not meet its carrier obligation. That remedy is to reduce Complainant's MQC by the number of units tendered by MSRF but not carried by Yang Ming. See, e.g., *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213, 1230-31 (FMC 1990)(recognizing that a similar clause would make assessment of damages "unlikely").

Finally, even if Yang Ming had not provided MSRF with sufficient space to meet the MQC – which Respondent unequivocally did – its inability to do so would have been expressly excused by the Service Contract.

First, as quoted above, the very provision of the Service Contract that created the carrier commitment (Article 7) specified that, in assessing Yang Ming's compliance with the obligation, it was necessary to take into account any "PUBLIC VERSION - CONFIDENTIAL MATERIALS EXCLUDED". As demonstrated, Yang Ming's inability to provide the 100 TEUs to which Complainant speciously claims it was entitled was not due to any unwillingness on the part of Respondent, but rather resulted from conditions well beyond Yang Ming's (or any carrier's) ability to control. As detailed above, these conditions included an unprecedented and unexpected increase in demand, congestion at U.S. terminals, closure at foreign terminals, and lack of equipment and trucking service, all of which were the results of a global pandemic. And peculiar to this case, a significant portion of the alleged shortage was created by Complainant itself, including its repeated cancellation of bookings, the sporadic (and often late) nature of its requests, its declination of space offered by Yang Ming, confusion on the part of its foreign consignors, and MSRF's inability to get along with its own designated trucker.

Second, as also quoted above, Article 19 of the Service Contract declared that there was no guaranty or warranty that either vessel space or equipment would always be available and stated that under various circumstances, failure to provide such would not be deemed a breach of the Service Contract. This provision also excuses any alleged underperformance by Respondent, for the same reasons as discussed immediately above with respect to Article 7.

C. MSRF has Abandoned, and in any Event does not Support, its Claims Under 46 U.S.C. 41104(a)(5) and 41104(a)(9)

MSRF in its brief expressly abandons its claim under 46 U.S.C. 41104(a)(5). See CBR at n.1 ("MSRF is no longer proceeding on Count III (Violation of 46 U.S.C. § 41104(a)(5))."). That withdrawal is based on an FMC decision, which Yang Ming provided to MSRF Counsel and

quote below, dismissing claims indistinguishable from those asserted by MSRF under *both* 46 U.S.C. § 41104(a)(5) and 46 U.S.C. § 41104(a)(9) because they do not state a claim under the Shipping Act. Complainant’s Counsel responded that he understood that both Count III and Count IV were pretermitted by the case and that he abandoned both of them:

“Pursuant to the Commission’s decision in *OJ Commerce, LLC v. Hamburg Südamerikanische Dampschiffahrts-Gesellschaft A/S/ & Co., KG and Hamburg Sud North America, Inc.*, FMC Docket No. 21-11 (August 31, 2022), ***the claims asserted by MSRF in Allegations 18 and 19 of the complaint are not violations of 46 USCA Sections 41104(a)(5) and (9).*** The referenced decision was issued after MSRF filed its complaint.”

MSRF Response to Yang Ming Interrogatory Nos. 27 & 28 (RX_000147) (emphasis added).

Given this clear and unequivocal concession that MSRF’s Complaint did not state a viable claim for relief under 46 U.S.C. 41104(a)(9), we are more than surprised by Complainant’s attempt to resurrect the claim on brief, which raises a question about Counsel for Complainant’s adherence to FMC Rule 6(a), 46 C.F.R. 502.6(a).³⁹ Even more incredibly, Complainant asserts that previously abandoned claim without making a single argument about 46 U.S.C. 41104(a)(9). This has caused Respondent’s Counsel to spend unnecessary time, at Respondent’s expense, responding to this already abandoned claim, for which we reserve the right to seek sanctions and/or attorney’s fees.

In any event, the claim under Count IV cannot be sustained, for the same reason that Complainant formally abandoned Count III and previously abandoned Count IV. Both of these claims are limited to discrimination as to ports, and the legislative history and FMC precedent squarely show that those provisions simply do not apply to claims of the sort raised by

³⁹ For now, we indulge in the assumption that this was just an oversight by Complainant’s Counsel, not an ethically improper attempt to re-assert a claim it had previously abandoned.

Complainant (as MSRF previously acknowledged). Because the leading FMC decision on the issue (acknowledged by Complainant as controlling in the quotation above) includes the legislative history, we reduce redundancy by quoting only (albeit at length) from the Chief Administrative Law Judge's opinion dismissing certain claims, including those under sections 41104(a)(5) and (9), in *OJ Commerce LLC v. Hamburg-Sud*, 2022 LEXIS 358 at **9-10 (ALJ, Admin. Final 2022) [RX_000427] (emphasis in original):

Respondents assert that sections 41104(a)(5) and (9) apply to rates charged to different localities or ports and not to shippers within ports, so that these sections are inapplicable to this claim. Complainant asserts that these sections are applicable to this proceeding and properly allege a violation of the Shipping Act.

Section 41104, titled "Common carriers," states that "(a) In General. A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . (5) for service pursuant to a service contract, engage in any unfair or unjustly discriminatory practice against any commodity group or type of shipment or in the matter of rates or charges with respect to any port; [or] . . . (9) for service pursuant to a service contract, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port." 46 U.S.C. § 41104(a).

Complainant points to *MCS Industries*, in which an Administrative Law Judge denied a motion to dismiss these sections[,], citing *MCS Industries, Inc. v. MSC Mediterranean Shipping Co., SA*, Docket No. 21-05, Order on Motion to Amend Complaint and Motion to Dismiss (ALJ Feb 4, 2022)). The *MCS Industries* decision addressed a motion to dismiss filed prior to discovery which did not clearly articulate the objections to these sections. It is not binding on this proceeding.

The parties do not cite to any cases other than *MCS Industries* addressing this issue. The Senate Report accompanying the Ocean Shipping Reform Act of 1997 states:

New sections 10(b)(5) and (9) substantially increase the discretion given to common carriers to provide different service contract terms to similarly situated shippers. In addition to eliminating the current requirement in section 8(c) of the 1984 Act that ocean common carriers provide the same service contract terms to similarly situated shippers, the bill narrow the application of the prohibited acts with respect to service pursuant to common carrier service contracts. Sections 10(b)(5) and (9) of the 1984 Act, as amended by the bill, would restrict common carrier service contracting flexibility in only three, narrow, ways.

First, sections 10(b)(5) and (9) of the 1984 Act, as amended by the bill, would protect localities from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts. **The Committee intends the application of these prohibitions to a locality to be limited to circumstances in which the prohibited actions are clearly targeted at the locality, not to circumstances where the actions are targeted at a particular shipper or ocean transportation intermediary which happens to be associated with that locality.** An example of this would include a clear pattern of service contracting by a common carrier that imposes an unreasonable disadvantage on all shipments from a specific nation or region of a nation, including the United States. Second, the amendments made by this section would retain similar protections for ports from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts as currently exist under the 1984 Act through references to ports and localities. Third, the amendments made by this section would protect shippers and ocean transportation intermediaries from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts due to their status as shippers' associations or ocean transportation intermediaries.

The Committee intends the application of sections 10(b)(5) and (9) of the 1984 Act, as amended by the bill, with respect to protection for shippers' associations and ocean transportation intermediaries to be limited to circumstances in which the prohibited actions are clearly targeted at shippers' associations and ocean transportation intermediaries in general, not to circumstances where the actions are targeted at a particular shippers' association or ocean transportation intermediary. An example of such prohibited activity would include a clear pattern of unjustly discriminatory practices by a common carrier with respect to all shippers' association service contracts. The Committee expects the amendments to the 1984 Act by the bill will result in a much more competitive environment for ocean transportation rates and services. This environment should provide shippers' associations and ocean transportation intermediaries with more options when shopping for ocean transportation services and free common carriers to compete with each other to obtain shippers' associations and ocean transportation intermediaries as customers. Therefore, the Committee believes that shippers' associations and ocean transportation intermediaries require less protection as individuals in this more competitive marketplace. The Committee intends that common carriers be afforded the maximum flexibility to

differentiate their service contract terms and conditions with respect to individual shippers and ocean transportation intermediaries in this more competitive environment. The Committee directs the FMC, and its successor, to focus the efforts of its limited enforcement resources, with respect to common carrier service contracts, on the most egregious examples of unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracting.

S. Rep. 61, 105th Cong., 1st Sess., p. 23 (1997) (emphasis added).”

Section 41104(a)(5) applies to practices "against any commodity group or type of shipment or in the matter of rates or charges with respect to any port." 46 U.S.C. § 41104(a)(5). The complaint does not identify any "commodity group" or any "type of shipment." The complaint does raise issues about practices regarding rates or charges but does not indicate that the practices are targeted to a specific port. Rather, it appears that the alleged conduct was targeted at a particular shipper. It therefore does not appear that the allegations would fit within the requirements of this section.

Section 41104(a)(9) applies to practices "with respect to any port." 46 U.S.C. § 41104(a)(9). The complaint does not indicate that the alleged undue or unreasonable preference or advantage or prejudice or disadvantage were targeted at a specific port. Rather, it appears that the conduct was targeted at a particular shipper. It therefore does not appear that the allegations would fit within the requirements of this section.

Respondents have established that, as a matter of law, Sections 41104(a)(5) and 41104(a)(9) do not apply to the practices alleged in the amended complaint. Accordingly, OJC's claims under Sections 41104(a)(5) and 41104(a)(9) are dismissed.”

Accordingly, even if Complainant did not abandon its claim under Count IV, it must be dismissed for failure even to state a claim, much less to prove one.

D. Yang Ming did not Violate 46 U.S.C. 41104(a)(10)

46 U.S.C. 41104(a)(10), as in effect during the relevant period,⁴⁰ states that an ocean common carrier may not “unreasonably refuse to deal or negotiate.” It thus requires a would-be complainant, including MSRF, to prove that: (1) Respondent is a common carrier; (2) Respondent refused to deal or negotiate, and (3) such refusal was unreasonable. *OJC Commerce, LLC v. Hamburg Sud*, Docket No. 21-11, (I.D. June 7, 2023), slip op. at 25 (“OJ Commerce”). As acknowledged before, Yang Ming is an ocean common carrier. As to the other two essential elements – that Yang Ming refused to deal and that such refusal was unreasonable, Complainant has proven neither. Indeed, it barely mentions either aspect other than to briefly summarize the statutory provision [CBR at 3] and to state a few times that Yang Ming refused to carry certain cargo.⁴¹

1. Yang Ming did not refuse to deal or negotiate

The test for a refusal to deal presents a fairly high barrier (which likely explains why violations have rarely been found by the FMC). As the Commission has said:

The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of the OSRA. All that is required is that common carriers . . . refrain from

⁴⁰ We note that Complainant has asserted the wrong version of 46 U.S.C. 41104(a)(10). The version in effect when all of these activities took place made no reference to “space accommodations.” That was added by OSRA 22, which was enacted June 16, 2022, and does not apply retroactively. See *OJ Commerce, LLC v. Hamburg Sud*, Docket No. 21-11, (I.D. June 7, 2023), slip op. at 23 (OSRA 22 change to 46 U.S.C. 41104(a)(10) does not apply to prior actions). We assume that this sloppy misquotation was an honest error, rather than a matter of ethical concern.

⁴¹ As discussed shortly below, a denial of (really inability to provide) space for individual shipments is not a refusal to deal or negotiate. Rather, that provision applies only when a carrier shuts out a shipper entirely, not where the complainant simply did not achieve the result it wanted.

' *shutting out* ' any person for reasons having ***no relation to legitimate transportation-related factors***. *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, 29 S.R.R. 345, 351 (ALJ 2001), *aff'd* 29 S.R.R. 1066 (FMC 2002), *aff'd New Orleans Stevedoring Company v. Federal Maritime Commission*, 30 S.R.R. 1066 (D.C. Cir. 2002) (emphasis added).

To like effect, see *Consumer Elec. Shippers Ass'n, Inc. v. Asia North America Eastbound Rate Agreement*, 26 S.R.R. 85, 93 (ALJ 1991) (no refusal to deal where the carrier made a contract offer, "albeit one not fully to [Complainant's] liking").

The Commission has been especially circumspect with respect to service contracts, as they reflect a rather complicated and sensitive relationship between two entities, each with its own business/commercial needs and goals. We are, in fact, aware of only a single, recent case where the ALJ or Commission concluded that a carrier breached the requirement to negotiate or deal with a shipper customer. But the facts in that case, *OJ Commerce*, discussed further below, are night and day from the facts here,⁴² and Judge Wirth's opinion in *OJ Commerce* actually supports dismissal of MSRF's claim in this proceeding.

Precedent makes clear that the Shipping Act does not require a common carrier to offer or provide a service contract to every customer that requests one, and that not entering into a service contract does not, in and of itself, constitute a refusal to deal. *Consumer Elec. Shippers Ass'n, Inc. v. Asia North America Eastbound Rate Agreement*, *supra*, finding no refusal to deal,

⁴² Among other things, the carrier in *OJ Commerce* made a flat decision not to provide any more containers to the shipper, and not to negotiate a new contract, and it did so as plain retaliation for shipper complaints, not for lack of space. Here, in contrast, Yang Ming never ceased trying to provide service to MSRF, and indeed, entered into a subsequent contract with MSRF. Any imagined failure to meet the carrier commitment in the Service Contract (although it was in reality more than met), was not a matter of retaliation, but the absence of space and equipment, as well as other difficulties posed by MSRF, such as cancellation of multiple bookings. Judge Wirth's decision indicates that such reasons, if not shown false as they were there, constitute a legitimate reason for being unable to fulfill an MQC.

unreasonable or otherwise, where the parties negotiated but did not reach agreement and the carrier made a counteroffer that the shipper declined to accept. This interpretation of 46 U.S.C. 41104(a)(10) was recently reaffirmed by the Commission under the Shipping Act, as amended by the Ocean Shipping Reform Act of 2022, when it explained that a carrier does not engage in an unreasonable refusal to deal if it declines to enter into a service contract with a customer:

"The Commission further recognizes that an ocean common carrier does not have a duty to grant a contract to every potential party." 87 Fed Reg. 57674, 57677 (September 21, 2022). Further, any assertion otherwise would be flatly inconsistent with Congress's decision in 1998 to repeal the prior "me-too" provisions, which required carriers that entered into one contract to make the contract terms and conditions available to other, similarly situated shippers. Ocean Shipping Reform Act of 1998, 105 P.L. No. 258 (enacted October 15, 1998), 112 Stat. 102; S. Rep. No. 105-61, Report of the Committee on Commerce, Science, and Transportation on S. 414 (July 31, 1997) at 19, 23-26.

It is in any event unclear what Complainant thinks rises to the level of a refusal to negotiate or deal. Obviously, it cannot be claimed that Yang Ming declined to enter into a service contract, as this proceeding is entirely about the Service Contract that Yang Ming and MSRF ***did agree to*** (and filed with the FMC) in response to an MSRF Request for Proposal. And although the Complaint (but not the brief) makes a vague allegation suggesting that MSRF perhaps did not get the precise terms it wanted, the law, as quoted above, is clear that a shipper has no right to "a contract with any specific terms." Accordingly, the only possible claim is that the refusal to deal comes from Yang Ming's inability to always give MSRF space when (specific departure dates) and where (between specific ports/points) it wanted. That is simply not a refusal to deal. Indeed,

Complainant's allegations at most raise a breach of the contract claim that is restricted to judicial attention, as shown above.

The recent decision by Judge Wirth in *OJ Commerce*, *discussed briefly above*, confirms that what happened here is **not** a refusal to deal. There, the carrier made a deliberate decision not to enter into a new service contract, and not to honor the remainder of the existing contract, simply because of litigation concerns. Although the carrier continued to exchange communications with the shipper about a new contract, these were, according to Judge Wirth, merely a pretext for an executive decision by the carrier to cease entering into or honoring contracts with a shipper that had dared to complain. Not surprisingly, Judge Wirth found the carrier's decision to "disengage" entirely from all contractual relationships with the shipper to constitute the type of total "shutting out" that rises to the level of a refusal to deal.

Even if, as Judge Wirth concluded, a failure to provide space under a service contract may be considered a "refusal to deal" in such extreme cases, nothing in this proceeding suggests a similar result; indeed, quite to the contrary. Here, unlike *OJ Commerce*, the record demonstrates beyond peradventure that Yang Ming did not "shut out" MSRF, but rather negotiated with MSRF throughout, including by making amendments to the Service Contract and making suggestions expressly designed to help MSRF get space. And as noted above, Yang Ming, unlike the carrier in *OJ Commerce*, continued to work with MSRF even after the Service Contract ended, entering into, and performing, a service contract for 2022-2023.

The fact that all this effort on both sides resulted in carriage of less MSRF cargo than the Parties originally anticipated or hoped does not convert that inability to carry additional cargo into a refusal to deal. As Judge Wirth expressly found as a matter of fact in *OJ Commerce*, the "shortfall [in carrier's provision of containers] **was not a result of space being unavailable**,

rather these final containers were not shipped due to the ‘potential litigation.’” Slip op. at 19 (Fact 75) (emphasis added). Here, in direct contrast, MSRF’s failure to tender, and MSRF’s inability to carry the original MQC (it carried well more than the actual MQC) resulted directly from a lack of available space (and equipment), as well as other circumstances outside Yang Ming’s control, including:

- Lack of vessel capacity and equipment due to the pandemic-induced surge in demand (as documented by the Commission);
- MSRF’s failure to tender the MQC;
- MSRF’s repeated cancellation of bookings it had made with Yang Ming, and its frequent decisions not to accept space (including regular, weekly space) offered by Yang Ming;
- Repeated instances of confusion among MSRF agents as to what MRSF wanted; and
- The many other unique circumstances of the period, including the frequent absence of motor power to make door pickups and deliveries, as well as additional widespread complications arising from the unprecedented congestion at West Coast ports and the intermittent disruption in Chinese ports resulting from China’s zero COVID policy.

Further, unlike the carrier in *OJ Commerce*, Yang Ming never ceased negotiating (and agreeing to, new contracts with MSRF. Indeed, as mentioned above, Yang Ming to this very day carries MSRF cargo under a new service contract between the Parties.

Moreover, the brief does not cite a single instance where Yang Ming actually “refused” to carry a shipment. The word “refused” is defined in the dictionary as “to show or express unwillingness to do or comply with” a request. Merriam-Webster online (available at <https://www.merriam-webster.com/dictionary/refused>). Yang Ming never expressed unwillingness to carry or book MSRF cargo, and neither the Complaint nor the brief asserts

otherwise. Quite to the contrary, Yang Ming was always “willing” to carry MSRF cargo; it was just that it was sometimes unable to do so due to circumstances beyond its control.⁴³

When read in totality, the facts actually demonstrate that Yang Ming in fact bent over backwards to accommodate MSRF as much as it possibly could, even when MSRF made its requests at the last minute or otherwise improperly. Among other things, Yang Ming offered MSRF regular space on certain sailings, which MSRF rudely rejected; Yang Ming agreed on bookings with MSRF, only to have MSRF cancel them; Yang Ming voluntarily added rates and locations to the contract (often at its own suggestion) to better serve MSRF; and Yang Ming repeatedly offered alternative routings to get MSRF’s cargo between origin and destination.

2. Yang Ming’s actions were not unreasonable

As the Commission has explained:

“A refusal to deal or negotiate is not on its own a violation of the Shipping Act. We must also determine whether the refusal was unreasonable.” *Canaveral Port Auth. -- Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, 29 S.R.R. 1436, 1448 (FMC 2003).

To like effect see *Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier*, 87 Fed. Reg. 57674 (Sept. 21, 2022)(Notice of Proposed Rulemaking) at 57676 (“...an ocean common carrier’s refusal to deal or negotiate is only a violation if it is unreasonable...”)

⁴³ As just one example, MSRF cites to an email string set out at Exhibit D to Complainant’s Appendix [CX_0157-58] as an alleged instance of “refusal” to carry cargo. What was actually said by the Yang Ming representative was “Unfortunately, origin office advised that we could not take below booking due to limited space.” Likewise, Exhibit B [set out in pertinent part at CX_0149] states: “Sorry that there is no more space in May, would you please kindly have your supplier to check back in the mid-May for June’s sailing schedule.” For completeness, we note that Exhibit C [CX_0154] says nothing about Respondent declining to carry a specific shipment or shipments. Rather, it is a truncated snippet without context or meaning.

Even if Yang Ming’s attempts to provide space to MSRF, sometimes thwarted by MSRF itself, were somehow considered a refusal to deal (which they cannot be), there is no basis for a finding that Yang Ming’s actions were unreasonable. MSRF does not address the issue of reasonableness anywhere in its brief, which should be deemed fatal to its claim. But in any event, it is plain that Yang Ming’s inability to provide space exactly when and where requested by MSRF was by no means unreasonable, but rather, was based on the absence of space that plagued all carriers during the 2021-2022 contracting season.

In *OJ Commerce*, Judge Wirth explained that the “reasonableness” of a refusal to deal would be tested by whether it was based on “legitimate transportation-related factors.” Under the extreme circumstances of that case, she concluded that, in “*this particular case*,” the facts showed that the carrier had refused to honor the contract or agree to a new contract “because an “executive decision” was made by the carrier that it would “not engage in any renewal discussions with customer in light of potential litigation.” Slip op. at 33 (italics in original). At the same time, she indicated that other factors proffered by the carrier, such as the effect of the pandemic, might be “legitimate, transportation-related factors that could reasonably support a carrier’s decision not to enter into a service contract.” Id.⁴⁴

As discussed above in the context of 46 U.S.C. 41102(c), Yang Ming’s efforts to provide space to MSRF were, if not heroic, at least more than reasonable. Yang Ming engaged in constant discussion with MSRF as to how space might be had, including suggesting amendments to add ports, rates, and transportation modes where there might be more space available and

⁴⁴ In *California Shipping Line*, supra, the Commission found no refusal to deal where the carrier’s decision not to extend a contract to the complainant was arguably based on a lack of space. 25 S.R.R. at 1227-28.

repeatedly asking MSRF it could use other origins or other routing to get space. Complainant has not identified a single instance when Yang Ming declined to book MSRF cargo for any reason other than lack of space or the unavailability of equipment.

Indeed, it might well be argued that, if anyone was unreasonable, it was MSRF. It refused to consider origin points in China other than Qingdao, where space and available equipment were especially tight. [RPFF102]. Moreover, MSRF often acted as if Yang Ming was supposed to set aside space for MSRF on particular sailings, even without a booking, and to hold that unbooked space until the last moment (just in case MSRF might need it), all to the detriment of other shippers that needed space and were able to make timely bookings. That expectation was clearly unreasonable under the circumstances prevailing in 2021-2022, when many shippers were not just clamoring for the space but would make an actual booking. Furthermore, there was nothing in the Service Contract requiring Yang Ming to do so, or even suggesting that it should.

One example of MSRF's cavalier approach to making advance arrangements for space is when Yang Ming, on April 26, 2021, informed MSRF that "there is no more space in May, would you please kindly have your supplier to check back in the mid-May for June's sailing schedule." CX_0149. Rather than check back in mid-May, however, MSRF waited until May 24, 2021, then suddenly asked for an extraordinarily high number of new bookings (seven) from Qingdao to different warehouse locations in the Chicago area. CX_0152. Not surprisingly, given the press of shippers wanting space, Yang Ming by that time had no unbooked space to give MSRF, and so replied on May 25, 2021 that "Qingdao space has been fully booked thru the end of May to Mid-June." CX_0152.

The recent passage of the *Ocean Shipping Reform Act of 2022*, 117 P.L. 146, 2022 Enacted S 3580, 136 Stat. 1272 (June 16, 2022) ("OSRA 22") effective only after the events that

occurred here, adds a specific reference to space accommodations. But all this shows is that, prior to June 16, 2022 (when all the relevant activities occurred), 46 U.S.C. § 41104(a)(10) did not apply to carrier/customer relationships. Otherwise, there would have been no need for Congress to amend the statute in order to address space accommodations. Complainant has in any event failed to address the reasonability of Yang Ming’s actions, and so could not prevail even under OSRA 22.

Further, any attempted application of OSRA 22 to the facts of this case, where all of the alleged activities occurred well before the effective date of OSRA 22, would be impermissibly retroactive. See *OJ Commerce*, supra, holding that OSRA 22 may not apply retroactively to past acts; *Thompson Pipe Group, Inc. v. OMNI Logistics LLC*, 2023 FMC LEXIS 86 at *8 [RX_000457 at RX_000460] (ALJ, February 24, 2023) (same). Neither a court nor an administrative agency may apply a new provision retroactively where it would “impose new liability” for past actions. See, e.g., *NLRB v. Bell Aerospace Co.*, 416 U.S. 267, 295 (1974). Cf. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 3 FMC 2d 110, 114 (FMC 2021), (Interpretative Rule could be applied to past conduct because “the revised standard is not imposing new liability on anyone”).

E. Complainant Has Not Established a Right to Reparations

1. Introduction

The Shipping Act authorizes the Commission to award reparations only “for actual injury caused by a violation of this part.” 46 U.S.C. 41305(b). The word “actual” was added by the Shipping Act of 1984, in order to “limit damages to the amount of actual injury.” *Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co.*, 26 S.R.R. 788, 798 (I.D., Admin. Final 1992) (quoting from the Conference Report on the Shipping Act of 1984). Because Complainant has

failed to show that Yang Ming violated the Shipping Act, reparations are automatically foreclosed. But even assuming *arguendo* that MSRF somehow made out a violation of the Shipping Act, the Service Contract itself precludes Complainant from proving injury, as the Service Contract itself provides the applicable remedy, which MSRF has already received. That alone is sufficient to put paid MSRF's plea for reparations. And even apart from that barricade, which MSRF struthiously ignores, Complainant has not made the showings necessary to obtain reparations; it has failed to establish either: (i) that it suffered an "actual injury" in a specific amount or (ii) that any such injury was proximately caused by the assumed violation.

Before proceeding, we note that Complainant's stated amount of injury has metamorphosized substantially and frequently during the course of this proceeding. It began as an assertion in the Verified Complaint of damages of over \$1,000,000 and continuing to accrue. It has now been reduced to \$633,013.33. This suggests that Complainant really has no idea of what its injury, if any, is. And from an FMC policy standpoint, it means that the potential for a negotiated settlement was substantially reduced by Complainant's posturing, considering that its brief dramatically reduced the amount claimed by about half.

2. Burden of Proof

As with liability, Complainant bears the burden of proving its entitlement to reparations. See, e.g., *Muzorori v. Canada States Africa Lines*, 2015 FMC LEXIS 46 at *23; 2015 WL 9582593 (I.D. 2015). That is, to claim reparations, MSRF must prove "actual injury caused by a violation" of the Shipping Act. There is no presumption of injury, and a violation of the Shipping Act does not itself justify an award of reparations without proof of pecuniary loss caused by the violation. See, e.g., *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, 2022 FMC LEXIS

242 [RX_000405] (FMC 2022); *Muzorori*, supra, at *23 [RX_000424] ; *Prudential Lines, Inc. v. Farrell Lines, Inc.*, 26 F.M.C. 497 (I.D. 1984).

To meet its burden of proof, MSRF was required not only to prove a statutory violation (as it did not) but also to demonstrate, with “reasonable certainty,” both the fact and the amount of injury. See. e.g., *California Shipping Line*, supra, 25 S.R.R. at 1230; *Tractors and Farm Equipment*, supra, 26 S.R.R. at 798; *Balmill Lumber & Sales Corp. v. The Port of New York Authority*, 11 F.M.C. 494, 511 (1968). It must also prove that such damages were proximately caused by the alleged violations, including that the claimed damages were reasonably foreseeable. In *Prudential Lines, Inc. v. Farrell Lines*, supra, 26 F.M.C. at 602, for example, the Commission held that the Shipping Act “restricts damages to those that are reasonably foreseeable or proximately caused by the violation proven, not to remote consequential damages.” In particular, a complainant “must prove with ‘competent evidence’ that [he] sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 187 (FMC 2001) (quoting *Cal. Shipping Line, Inc. v. Yangming Marine Transp. Corp.*, 25 S.R.R. 1213, 1230 (FMC 1990)). Or as Judge Wirth explained in *Muzorori*, supra:

“In order to recover reparations, a complainant must show with reasonable certainty that the violation of law is the proximate cause of the loss or injury. *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 187 (FMC 2001); *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. at 25.”

See, e.g., *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal District*, 2003 30 S.R.R. 8, 13 (FMC 2003) (“As the Commission has previously explained, ‘an essential element of a complainant’s case for reparation is a demonstration of injury and the statutory violation as proximate cause of such violation’”).

Complainant not only failed to prove its entitlement to damages, but also failed even to address the matter in any serious way. It has put all its reparations eggs into one basket, which it refers to as a damages summary. Revised Exhibit E to the Reich Declaration (CX_00160-CX_00180).⁴⁵ But that summary, which Complainant submitted as its sole calculation of damages, fails to meet even the basic standards for admission in an FMC proceeding, that evidence be “relevant, material, reliable and probative.” 46 C.F.R. 502.124(a). Accordingly, in the following sections of this Opposition Brief, we demonstrate: (i) that the Service Contract itself precludes Complainant from proving injury, and FMC precedent honors such limitations; (ii) that Complainant’s purported damages summary is inadmissible; (iii) that Complainant has failed to show proof of payment for the alternate shipments it claims to have made with other carriers; (iv) that Complainant has failed to demonstrate proximate cause, (v) that Complainant has failed to demonstrate injury, or its amount, with the requisite certainty, and (vi) that Complainant failed to mitigate damages.

3. The Service Contract precludes Complainant from proving injury

The Shipping Act (46 U.S.C. 40502(c)(8)) and the FMC’s service contract rules specifically authorize the parties to a service contract to determine for themselves the remedies that will be available if either party fails to meet its commitments under the contract. Thus, 46 C.F.R. 530.3(q) explicitly states, in pertinent part: “The contract may also specify provisions in the event of nonperformance on the part of any party.”

Complainant fails to mention, much less address, the fact that the Service Contract it negotiated, and which Mr. Reich admits he signed, specifically delineates what happens if one of

⁴⁵ As explained further below, Complainant has filed two different versions of Exhibit E. We use the term “Revised” to refer to the second version, filed June 9, 2023.

the Parties fails to meet its obligations thereunder. With respect to Yang Ming's service obligation, the Service Contract explicitly states (as quoted in full above) that, if Yang Ming fails to provide MSRF with sufficient space to meet its MQC, MSRF:

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Thus, as expressly authorized by the Shipping Act and the FMC's regulations, the very contract that gave MSRF a right to space, and to specially negotiated rates below the otherwise applicable tariff rates, also dictated the specific relief available to MSRF if Yang Ming failed to provide the entirety of the contracted space. That remedy was a reduction in the MQC, so that MSRF would not incur liquidated damages. And as MSRF itself acknowledges, Yang Ming did in fact reduce the MQC, so MSRF has already received the only relief to which it was entitled.

The Commission has recognized the preclusive effect of exclusive remedies in service contracts. In *California Shipping Line*, supra, 25 S.R.R. at 1230, for example, the Commission stated that "a shipper's damages will likely be limited to those specified in the original contract." We recognize that Judge Wirth recently held that similar provisions in another service contract did not control the availability of reparations in a case ***not based*** on breach of contract. *OJ Commerce*, supra, slip op. at 47. But she also recognized that, in a case based on breach of contract, such as here, such a provision would preclude a complainant from proving damages, as the Commission held in *California Shipping Line*.

4. Revised Exhibit E is inadmissible

Complainant argues in its Opening Brief that its damages summary is admissible because it summarizes voluminous documents that were made available to Respondent in discovery. We question whether that claim meets the test of Federal Rule of Evidence (“FRE”) 1006, because the documents summarized are not really voluminous and could easily have been incorporated in Complainant’s Appendix for examination by the Presiding Officer. But even if the summary meets the technical requirements for admissibility under FRE 1006, it does not meet the requirement of the FMC Rules that evidence in an FMC proceeding must be “relevant, material, reliable and probative” in order to be admitted. 46 C.F.R. 502. 204(a). As we now show, the damages summary meets none of those requirements.

a. Revised Exhibit E is not relevant. Under Federal Rule of Evidence 401, purported evidence is relevant only if the fact it allegedly supports “is of consequence in determining the action.” Complainant’s theory of injury is one of “average” harm, not actual, individual injury to MSRF. Thus, MSRF claims, without any evidentiary support, that it was required to make alternative arrangements for 265.5 TEUs due to unspecified carriers failing to provide it with space (a claim that is literally impossible given that its total MQC among the three carriers with which it had service contracts in the trade (even including adjacent trades), was less than 265.5 TEUs before any of them were reduced by amendments. None of those purported shipments is asserted by Complainant to have any relationship to any shipment that MSRF allegedly tendered to Yang Ming and Yang Ming declined (a matter we discuss at length below in connection with Complainant’s failure to prove proximate cause). Instead, MSRF simply totals what

it claims are the extra costs of making these arbitrarily selected shipments and derives therefrom an arbitrary average, which it says can be multiplied by the number of TEUs it wrongly claims Yang Ming owed MSRF.

We doubt this sort of back-of-the envelope averaging calculation is admissible anywhere in the world to prove “actual” injury, but be that as may be, it is certainly not admissible at the FMC, where the Commission has held that, except in rare circumstances, not present here, injury may not be proven by average harm, but instead must be demonstrated as individual injury resulting from individual violations of the Shipping Act. In *Government of the Territory of Guam v. Sea-Land Service, Inc.*, 2005 FMC LEXIS 16 at *34-35 [RX_000313 at RX_00031] (FMC 2005), for example, the Commission had previously held that each of two ocean carriers had violated the Shipping Act of 1984 (as then constituted) by overcharging the shippers of Guam by specific percentages in each of the past three years. But when the complainants sought to apply those percentages to their individual shipments and the specific rates actually charged, both the ALJ and the Commission held that the Complainants were required to prove individual, “actual” injury, not just average injury. In this respect, the Commission held, complainants needed to demonstrate injury on a rate-by-rate, shipment-by-shipment basis, under which complainants would need to show that each individual shipment was unreasonably rated and by how much. *Id.* Returning briefly to *OJ Commerce*, we note that Judge Wirth specifically rejected as insufficiently reliable an analysis that, much like MSRF’s, was

premised on averaging what the complainant spent on unrelated shipments compared to what its rate might have been under the allegedly dishonored service contract.⁴⁶

Even if average injury could be used to calculate in reparations calculation, which it cannot, MSRF bore the burden of proving that the particular, novel methodology it used was meaningful and reliable. *James J. Flanagan Shipping Corp. v. Lake Charles Harbor & Terminal Dist.*, 30 S.R.R. 8, 13 (FMC 2003) (“It was [Complainant’s] burden to demonstrate the validity of its methodology, and it has failed to do so”). Apart from a very brief (and inaccurate) recitation as to what it supposedly did, MSRF has made absolutely no effort to demonstrate the validity of its methodology as a way to calculate “actual injury” in accordance with the requirements of the Shipping Act and FMC precedents. Nor, unlike *OJ Commerce*, are MSRF’s calculations. made its self-interested President, supported by independent, expert testimony.

The Commission has been very wary of calculations made by a complainant’s own officers. In *California Shipping Line*, supra, for example, the FMC rejected a damages summary that “was entirely the work of CSL’s president,” finding “the basic damage summary to be an unconvincing basis upon which to award damages.” 25 S.R.R. at 1229.⁴⁷ Accordingly, the Commission held that the complainant had “not established its actual injury with a reasonable

⁴⁶ Judge Wirth did allow a damages estimate involving the calculation of average profits. But that was in the context of lost profits, not additional shipping costs (which she rejected). Whatever the merits of that holding, it has no application here, as MSRF is not trying to estimate lost profits (indeed, it has waived any such claim), but rather to show average, not individual, injury.

⁴⁷ The summary was rejected even though confirmed by an expert, as the expert did not act independently.

degree of certainty.”⁴⁸ Id. at *60. In this regard, the Commission explained that its decision was compelled by past precedents regarding failure to make space available to shippers:

“The Commission's predecessors have had occasion to address proof of damages for failure to make vessel space available to shippers. In one of the earliest published decisions, the Shipping Board found that an exclusive patronage arrangement violated the 1916 Act. *Eden Mining Co. v. Bluefield Fruit & S.S. Co.*, 1 U.S.S.B. 41 (1922). However, the Shipping Board declined to award reparations ***even though the aggrieved shippers established the amounts they had paid for carriage and the discount they could have obtained under the loyalty arrangement.*** The Board noted that no evidence was submitted as to expenses incurred, loss of profits, or damages suffered as a result of the wrong. It further held that the language of section 22 contemplated reparations only for "actual damage incurred" and that "the fact of injury and the exact amount of pecuniary damage must be shown by further and other proof" Id. at *59 (emphasis added).

Likewise, in *Waterman v. Stockholms Rederiaktiebolag Svea*, 3 F.M.B. 248, 249 (1950), another case regarding an alleged failure to provide space, the Commission explained:

“To award damages alleged to have been incurred . . . there must be that degree of certainty and satisfactory conviction in the mind and judgment of the Board as would be deemed necessary under the well-established principles of law in such cases as a basis for a judgment in court.”

b. Revised Exhibit E is not Material. The damages summary also fails, for similar reasons, to meet the test of materiality. Purported evidence is “material” only if it is offered to prove an element of a claim or defense that needs to be established for one side or the other to prevail. Because, as demonstrated above, the Commission does not allow reparations to be established by resort to average injury, the

⁴⁸ See, e.g., *Adenariwo v. BDP International*, 33 S.R.R. 595, 598 (FMC 2017) (“summary of damages prepared by the Claimant . . . is not sufficient, without additional supporting evidence, to establish the damages claimed therein”); *Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co.*, 26 SRR 788, 798 (I.D., Admin. Final 1992) (summary by itself deemed insufficient).

damages summary cannot be used to demonstrate the “actual injury” that Complainant must prove in order to be awarded reparations.

c. **Revised Exhibit E is not Reliable.** Even if Complainant’s calculation of damages was relevant and material – which it is not – it plainly does not meet the standards for reliability. Not only is the inconsistent with any acceptable theory of actual injury, but it is also riddled with technical errors and unexplained assumptions, rendering the summary essentially meaningless.

As an initial matter, Complainant provides no explanation as to *why* it believes the assemblage of numbers it puts forth show average injury, much less “actual” injury. For example, MSRF never explains why it chose this specific pool of 265.5 TEUs, or why it differs from the pool of 124 FEUs that MSRF used to calculate “damages” in Docket No. 22-20. Complainant asserts in its brief that this pool reflects “the costs incurred [by MSRF] in hiring other companies to provide vessel space for MSRF’s containers,” but this makes no sense.

Even under MSRF’s strange theory, and even assuming the correctness of its asserted numbers, MSRF simply did not have 265.5 TEUs of MQC that went unfulfilled under the three service contracts it had in the trade. During the term of the Service Contract, the only other ocean carriers with which MSRF had contracts in the relevant trade during the year at issue were HMM and Evergreen Line Joint Service Agreement. According to Complainant’s own brief [CBR at 1 n.1], the portion of the MQC not fulfilled by Yang Ming was 89.25 TEUs, which for present purposes we assume as correct, even though it is not. And in Docket No. 22-20 MSRF asserts that HMM owes it 32 TEUs (16 FEUs). *MSRF, Inc. v. HMM Company Limited*, Verified Complaint at ¶¶25-

26. We understand that ELJSA fulfilled its carrier commitment, so MSRF is owed zero from ELJSA. RX_000138. Thus, the theoretical maximum amount of unfulfilled MQC due to MSRF is only 121.25 TEUs, less than half the pool.

Furthermore, in choosing the shipments to include in the pool, Complainant made a deliberate choice intended to bias the results upward. Every shipment in the pool is Eastbound from China (particularly Qingdao). But the Service Contract provided rates for *both* Eastbound and Westbound shipments. CX_0007 (TPEB); RX_000002(TPWB). Westbound shipments were included in the MQC and Yang Ming indeed carried MSRF cargo westbound. The only possible reason for doing so that we can see is to increase the alleged damages, as Eastbound rates are, on average, substantially higher than Westbound rates. Compare, e.g., RX_000008 (TPEB rates) to CX_014 (TPWB rates).

Even apart from this confusion about the number of shipments in the pool, there is no explanation as to how, or whether, any of the shipments in the pool relate to Yang Ming. There is, for example, no identification as to which, if any, of these shipments tendered to Yang Ming but declined. Obviously, the vast majority of them were not. The Presiding Officer thus has no way of knowing whether or not Yang Ming had a chance to carry the cargo and, if so, whether it declined. Moreover, at least one of the shipments was in fact carried by Yang Ming, notwithstanding its improper presence in Revised Exhibit E. And as discussed in more detail below regarding Complainant's failure to demonstrate proximate cause, MSRF offers no reason why the average of several hundred shipments not involving Yang Ming should be considered a good proxy for any group of 89.25 TEUs, in or outside the pool, much less for the specific 89.25 TEUs as to which MSRF cries foul.

Furthermore, as discussed in more detail below, for *all* of the shipments included in Revised Exhibit E, there is demonstrable evidence that the shipment was proffered to carriers other than Yang Ming, making it impossible to assign the shipment to any one of the multiple carriers that declined the proffer. On March 17, 2023, in response to Yang Ming’s interrogatory asking, “to whom was the cargo tendered” MSRF produced a summary chart showing (on one tab) the three ocean common carrier service contracts MSRF had for 2020-2021 and (on a second tab) all the shipments it asserts it tendered to carriers in the relevant period and details of those shipments. [RX_000134-RX_000153].⁴⁹ Among other things, the chart: (i) shows that every shipment MSRF had tendered to Yang Ming it had also tendered to at least one other carrier, which must also have declined to carry the cargo; and (ii) listed only Eastbound (U.S. import) shipments, ignoring Westbound (U.S. export) shipments even though MSRF’s contract with Yang Ming was for transportation in both directions.

d. Revised Exhibit E is not probative.

Probative value is the probability that the “evidence” will assist in proving a relevant fact in issue. It is, in essence, a quantification of relevance. As the damages summary is not relevant, as demonstrated above, it is *a priori* not probative.

e. Revised Exhibit E does not fairly and accurately represent the underlying documents

In order for a summary of documents to be admissible, it must not only be “relevant, material, reliable and probative,” as well as voluminous, but also fairly

⁴⁹ Complainant did not present that summary as evidence or address it in the Opening Brief or Mr. Reich’s affidavit. Thus, it may be used only as impeachment, not in support of Complainant.

represent the underlying documents and be "accurate and nonprejudicial." *United States v. Milkiewicz*, 470 F.3d 390, 398 (1st Cir. 2006) (internal citations omitted). Revised Exhibit E flunks this test.

There are in fact two different MSRF exhibits denominated as Exhibit E. First, there is the original, partially illegible, Exhibit E included with Complainant's Opening Brief, filed on April 21, 2023. Second, after the Presiding Officer gave Complainant an unasked-for mulligan, allowing MSRF to replace the illegible Exhibit E with a legible version, but no more, Complainants, paying no attention to the Order, MSRF proceeded instead to file a *different* Exhibit E – one that added pages, added shipments, added numbers, and added headings. See Respondent's Motion to Dismiss (served June 12, 2023). In the remainder of this Opposition Brief, we will refer to "Revised Exhibit E," to clarify that we mean the new, augmented version.

Revised Exhibit E presents multiple problems. For example, it contains a column marked "Actual Freight Charges." But the underlying documents show that some of the numbers MSRF put in that column do not match up with the purported supporting documents. CX_0161. See, e.g., RX_000155. Furthermore, the numbers stated in this column appear not to be what they claim -- "Actual Freight Charges." Ocean Freight Charges are universally understood to be the charge from the shipping line to carry your goods by ship from port to port. The term on its face excludes ancillary (non-freight) charges such as terminal handling charges, fuel surcharges, drayage charges, and the like. The numbers purported by Revised Exhibit E reflect not "actual freight charges," but rather an unexplained amalgam of ocean freight and various other (non-freight) charges.

We have not compared every line in Revised Exhibit E to the underlying documents cited in that exhibit. And the Presiding Officer cannot do so, as MSRF has not provided the underlying documents in its Appendix. But even a modest inspection demonstrates discrepancies. As just one example, Row 1 of Column of Revised Exhibit E asserts that “Actual Freight Charges” for this shipment were \$26,788.00. Revised CX_0170 (“File #30”) But the underlying documents that MSRF provided (only to us), show that the invoice from the carrier (in that case an NVOCC) reflected an actual amount of \$26,500 for “ocean freight charge (C.O.D.)” RPFF119.

There are, moreover, multiple flaws in MSRF’s calculations. First, it appears that MSRF included in its calculation of total injury any shipments it made between May 10 and December 3, 2021, even if they *could not* have been moved under the Service Contract. For example, Revised Exhibit E includes *air* shipments and shipments with origins (e.g., Japan) and/or destinations (e.g., not covered (Revised Exhibit E includes origins Middlebrough, MA, Tampa, FL, Lebanon, TN, Fairmont, VA,). Revised CX_0163-CX0166. None of these shipments could legally have moved under the Service Contract and so it is improper to use them in calculating damages.

Similarly, Revised Exhibit E contains rows that show no Yang Ming service contract rate in the columns marked “Yang Ming Total Rate” and “Yang Ming SC Rate,” but nevertheless include an assessment in the column marked “YM Difference.” If there is no Yang Ming rate, how can one possibly compare it to rates in other, unknown contracts or tariffs? MSRF does so by assuming a Yang Ming rate of zero.⁵⁰ That of

⁵⁰ See, e.g., File #52, showing N/A for Yang Ming SC Rate, \$18,070 for “Actual Freight Charges” and \$18,070 for “YM Difference.” CX_0170.

course is highly unlikely, as ocean common carriers generally do not give away their services for free. We estimate that this faulty assumption erroneously added more than \$250,000 to MSRF's calculations.

Furthermore, Revised Exhibit E contains rows for which *no* underlying documents are cited in support. Obviously, such unsupported numbers cannot be credited. MSRF also uses the wrong numbers for TEUs it alleges are owed to it by Yang Ming. As demonstrated above, Yang Ming carried 17 TEUs of MSRF cargo, not 10 or 10.75.

Last, but not least, MSRF's arithmetic is just wrong. Revised Exhibit E includes a column captioned, "No. of Containers" and another column captioned "CNTR SIZE." Revised CX_0161-CX_0180. Included in the "CNTR SIZE" column, are both 40'HQ containers and as well as 20' containers. Accordingly, the only way to derive a correct TEU figure is to convert the 40'HQ containers to TEUs. MSRF, however, does not do so. Instead, it purports to have summed the number of "containers" (regardless of size) and reached a total of 118. But this is not arithmetically the equivalent of 118 TEUs, as MSRF assumes in its calculations. Rather, it has treated 20' containers as if they were 40' containers, converting what is actually one TEU to two TEUs.

5. MSRF has failed to submit proof of payment

Even if the damages summary were admissible, which we have shown it is not, MSRF's claim for reparations would have to be dismissed for failure to prove that MSRF in fact paid for the alternative arrangements it claims to have made. The documents cited in the damages summary are all requests for payment – invoices and the like. But there is no evidence showing that MSRF paid any, much less all, of them.

This failure to prove payment is fatal under established FMC precedent. In *Government of the Territory of Guam v. Sea-Land Service, Inc.*, 29 S.R.R. 894 (ALJ, Admin. Final 2002), for example, Judge Dolan held that there can be no presumption that bills are paid, and that documentary evidence to demonstrate payment is required. Accordingly, he dismissed all claims where complainants had not provided canceled checks proving that they had in fact paid the ocean freight. Likewise, in *Cotton Import & Export Co. v. Sea-Land Service, Inc.*, 20 S.R.R. 260 (FMC 1980), the Commission held that, in order to obtain reparations, complainant would need to demonstrate that it paid for the shipments, by providing copies of **both** the front and the backs of checks (as both sides are required to prove that the check was endorsed and paid) and stated that even then, reparations would need to be denied if there was any question whether the front and back came from the same check. See, e.g., *Snyder General Corp. v. South African Marine Corp.*, 25 S.R.R. 373 (I.D., Admin. Final 1983) (partially illegible checks insufficient to document payment for purposes of reparations); *Mine Safety Appliance Co. v. Springbok Shipping Co.*, 20 S.R.R. 410. 413 (S.O. 1980) (documents showing that freight bill was presented for payment but not whether payment was made held insufficient); *Refinement International Co. v. Eastbourne*, 815 F. Supp. 738, 744 n.11 (S.D.N.Y. 1993) (check duplicates not showing cancellation inadequate to show payment), *aff'd*, 25 F.3d 105 (2d Cir. 1994); *Ruberto v. Commissioner of Internal Revenue*, 774 F.2d 61, 64 (2nd Cir. 1985) (where matching of fronts and backs was unclear, claimant would need to produce original checks in order to prove payment).

6. **MRSF has Failed to prove proximate cause**

A complainant seeking reparations must prove that such damages are “the proximate result of violations of the statute.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022) (quoting *James J. Flanagan Shipping Corp. v. Lake Charles Harbor & Terminal Dist.*, No. 94-32, 2003 WL 22067203, at *7-8 (FMC Aug. 26, 2003)). Or as further explained in *MAVL*, “establishing a Shipping Act violation alone does not justify reparations--complainants must also show that they sustained a pecuniary loss *as a result of the unlawful act.*” 2022 WL 2209421, at *3 (emphasis added).

Complainant here has not even met its initial burden – to prove a violation of the Shipping Act. So there is no real necessity to address its failure to demonstrate proximate cause. But if there were reason to do so, Complainant has not even *mentioned* proximate cause, much less borne the burden of proving its presence.

Although Complainant’s theory of causation remains obscure, its essence appears to be that MSRF did not receive from Yang Ming all of the space promised in the original contract (before the amendment to 10 TEUs), so for the space it didn’t receive (even if MSRF never tendered such cargo to Yang Ming), it was entitled to ship other cargo, on other carriers, at other times, at (largely) Yang Ming’s expense. This is a mouthful to say, and well more than a mouthful to credit. Complainant makes no claim, and certainly offers no proof, that the shipments for which it claims injury bear any relationship (much less a causal relationship) to any shipments that MSRF actually tendered to Yang Ming, but Yang Ming declined to carry.

Instead, Complainant simply, simplistically, and wrongly says that Yang Ming’s alleged failure to give MSRF all the space it wanted provided MSRF with a chit to spend as it liked on

shipments bearing absolutely no relation to the shipments tendered to Yang Ming. According to Complainant, if Yang Ming declined a single shipment, MSRF could book a totally different shipment (of totally different cargo) with any carrier, at any time, and pay any price, with Yang Ming left to pay the difference. It is hardly surprising that Complainant cites no authority for this bizarre proposition, as we are fairly sure none exists – certainly not at the FMC. Quite to the contrary, the FMC has found no proximate cause where the violations and the alleged injury occurred in different time frames. See, e.g., *Meyan S.A. v. International Frontier Forwarders*, 30 S.R.R. 1397 (FMC 2007).

Although we do not know much from Complainant's laconic damages summary, we do know from MSRF's discovery responses that most of the shipments listed on the damages summary were never tendered to Yang Ming, and all of them were offered to other carriers, in unknown order. There is thus no way to determine which of the multiple carriers caused the alleged injury, if any, to MSRF, especially as MSRF declined to provide any information as to the order in which particular shipments were offered to the multiple carriers. For example, it may well be that a particular shipment was first offered to HMM or Evergreen, then declined by one or both, before it was offered to Yang Ming. How is it possible in law or reason to say, in that instance, that Yang Ming, rather than HMM or Evergreen, was the proximate cause of the injury. In the absence of a showing (which MSRF has not attempted) that each shipment on the list was directly related to a shipment declined first by Yang Ming, there is simply no basis to hold Yang Ming to be the proximate cause.

Not only has Complainant failed to show proximate cause – i.e., that the shipments in the damages summary somehow relate to shipments declined by Yang Ming -- it has also failed to demonstrate any temporal relationship between the 265.5 TEUs in its pool (or any part of them)

and any violation by Yang Ming. Even assuming, incorrectly, that failure to meet the carrier commitment is a Shipping Act violation, rather than, as Congress said, a breach of contract, the Service Contract did not, by Complainant's own admission, require Yang Ming to provide space for the MQC over any period other than the entire contract term. That is, no failure to meet the carrier commitment, and hence no possible violation of the Shipping Act, could be determined until contract end (or, as happened here, reduction of the MQC to an amount already carried). All of the purported shipments in Complainant's damages summary, however, occurred between May, 2021 and December, 2021. Such alternate shipments, therefore, occurred well before any possible violation by Yang Ming, and thus cannot be considered caused by purported violations that, even under Complainant's theory, did not occur until months later.⁵¹

7. Failure to mitigate damages

In cases involving requests for reparations, the Commission follows the common doctrine that a complainant must seek to mitigate its damages. See, e.g., *Rose International*, 29 S.R.R. 119, 191 (Remand I.D. 2001); *Kobel v. Hapag-Lloyd A.G.*, 33 S.R.R. 594, 604 (Remand I.D. 2014, affirmed 34 S.R.R. (FMC 2015)) & cases cited therein. As Judge Wirth explained in *Kobel*, injured parties “have a duty to mitigate damages.” *Id.* at 604.

California Shipping Line is particularly instructive about the duty to mitigate. There, in assessing a claimed failure to provide space, the FMC “question[ed] whether [complainant] took appropriate measures to mitigate its damages or avoid the consequences of [respondent's]

⁵¹ Any possible assertion by Complainant that violations occurred each time Respondent declined a proposed shipment is foreclosed by the language of the Service Contract, discussed above and by Complainant's own admission that the Service Contract did not require Respondent to provide space at any specific time or for each specific shipment proffered by Complainant.

actions.” Just as here, the complainant in *California Shipping Line* ***had other contracts with other carriers***, so the Commission held that even if the complainant were entitled to reparations, which it was not, the case would likely have to be remanded for a determination of the “exact level of mitigation.” 25 S.R.R. at 1231.

In this case, Respondent raised as an affirmative defense the failure of MSRF to mitigate damages. And as the Presiding Officer is aware, Respondent pressed for disclosure of such matters in a motion to compel and a subsequent conference with the Presiding Officer. Although Complainant agreed to, and eventually did, provide some information as to the alternative carriers to which MSRF offered shipments allegedly declined by Yang Ming, that information is much too limited to show if MSRF attempted to mitigate damages.

There is thus no way to determine what alternative transportation arrangements Complainant may have made for the shipments declined by Respondent and at what rates and other terms/conditions. And again, it is impossible to assess mitigation when Complainant refuses to say what specific shipments MSRF tendered but Yang Ming declined, or what specific alternatives were tied to these specific shipments that Yang Ming did not carry. There is no evidence, for example, that MSRF sought out or received the lowest transportation cost for the shipments it did make. Indeed, as discussed in Respondent’s Proposed Findings of Fact (RPFF97), there is evidence that MSRF allowed its overseas agents (consignors/shippers) to choose whatever carrier they preferred, regardless of cost.

Accordingly, even if Complainant had otherwise established its right to reparations, which it did not, its claims would have to be denied for failure to mitigate damages.

CONCLUSION

As demonstrated above, Complainant has failed to show that Yang Ming violated any provision of the Shipping Act. Some of MSRF's claims are barred by lack of subject matter jurisdiction or failure to state a claim. Others have been abandoned. All of them fail for absence of proof. Accordingly, each and every one of MSRF's claims should be denied and its Complaint dismissed with prejudice and the proceeding terminated.

Further, even if it is assumed, contrary to law and fact, that Yang Ming somehow violated the Shipping Act, reparations are barred both by the Service Contract and by Complainant's failure to prove its injury or to demonstrate proximate cause.

Dated: June 14, 2023

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 14th day of June, 2023, a true and correct copies of Respondent's Opposition Brief, Replies to Complainant's Proposed Findings of Fact, Proposed Findings of Fact, and Appendix were served by electronic mail on all counsel of record in accordance with 46 C.F.R. Part 502 and the Commission's Order of May 12, 2020 as follows:

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